

II

ECONOMIC REVIEW

The Indian economy remained robust in 2025-26 on the back of steady domestic demand and buoyant services sector, amidst persisting global uncertainties. Headline inflation moderated, led by deflation in food and strong favourable base effect. Deposit and credit exhibited double digit growth. The central government continued its fiscal consolidation, with an emphasis on capital spending. The external sector remained resilient despite elevated global trade uncertainties. The current account deficit remained well within its sustainable level and forex reserves stood at an adequate level, thus supporting macroeconomic and financial stability.

II.1.1 The global economic growth sustained at 3.4¹ per cent in 2025, despite trade and geopolitical uncertainties, aided by investment in technology, fiscal and monetary support, and accommodative financial conditions. Global inflation cooled down to 4.1² per cent from 5.8 per cent a year ago, although high services costs persist. While trade volumes recovered to 5.1³ per cent from 3.6 per cent on account of front loading and technology exports, fiscal outlook weakened. Market volatility persisted due to geopolitical risks and valuation concerns but surged towards the end of March 2026 following the outbreak of West Asia conflict. The US dollar after persistent weakness in 2025, began to exhibit strength with escalation in geopolitical risk in 2026. Further, sovereign bond yields that softened broadly in 2025, witnessed upward pressure in the current year over energy prices-driven inflation concerns induced by the conflict in West Asia.

II.1.2 Despite heightened global uncertainties, the Indian economy remained strong on the back of steady private consumption and robust investment on the demand side, and buoyant services alongside improving industrial activity

on the supply side. Headline inflation moderated further during 2025-26 on account of sharp contraction in food prices supported by robust agricultural production and softened global commodity prices. However, core inflation faced upward pressures driven by precious metals. Indian financial markets demonstrated resilience, with money market rates evolving in line with the policy repo rate and prevailing liquidity conditions. Equity markets witnessed bi-directional movements in 2025-26, as supportive monetary and fiscal policy measures improved sentiment while negative global cues from geopolitical and tariff uncertainties, and artificial intelligence-related concerns weighed on risk appetite. During 2025-26, the central government continued its fiscal consolidation and emphasis on capital expenditure, even as its total expenditure was contained within the budgeted target. States also prioritised capital expenditure while containing revenue expenditure, thereby improving the quality of expenditure. A modest current account deficit and adequate forex reserves imparted resilience to the external sector amid subdued capital flows during the year.

^{1,2,3} World Economic Outlook, April 2026, International Monetary Fund (IMF).

II.1.3 Against this backdrop, the rest of the chapter is structured into six sections. An analysis of the real economy is presented in section 2 followed by that of inflation and its drivers in section 3. The developments in monetary aggregates and financial markets are presented in sections 4 and 5, respectively. The evolution of government finances (centre and states) is discussed in section 6, and external sector dynamics are covered in section 7.

II.2 THE REAL ECONOMY

II.2.1 The Indian economy remained on a strong and steady growth path, notwithstanding the heightened external shocks in 2025-26, particularly following the imposition of higher US tariffs in April 2025. India continued to be the fastest growing large economy, supported by robust macroeconomic fundamentals and proactive policy measures. Economic activity was bolstered by steady growth in consumption and investment on the demand side, and a buoyant services sector and improvement in industrial activity on the supply side.

Aggregate Demand

II.2.2 Aggregate demand – measured by gross domestic product (GDP) at constant prices – grew by 7.6 per cent in 2025-26 from 7.1 per cent a year ago (Table II.2.1 and Appendix Table 1).⁴ Growth in GDP was anchored by domestic drivers – private final consumption expenditure and fixed investment (Chart II.2.1 and Appendix Table 2).

II.2.3 The imposition of steep tariffs by the US on its trading partners initially raised concerns about a possible drag on the external sector and overall GDP growth. However, the adverse spillovers remained contained, with net exports

Table II.2.1. Real GDP Growth

(Per cent)

Component	2023-24	2024-25	2025-26
1	2	3	4
I. Total Consumption Expenditure	4.9	5.9	7.5
Private	5.8	5.8	7.7
Government	0.6	6.5	6.6
II. Gross Capital Formation	8.7	6.1	6.5
Gross Fixed Capital Formation	7.3	6.4	7.1
Change in Stocks	116.9	1.7	10.4
Valuables	-9.3	1.9	-15.8
III. Net Exports			
Exports	0.7	6.6	6.5
Imports	-1.0	5.3	6.4
IV. GDP	7.2	7.1	7.6

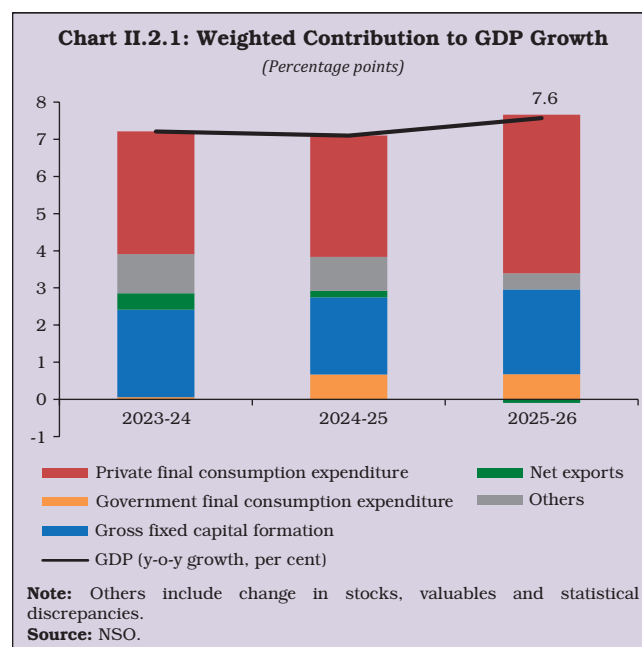
Note: Figures are based on the 2022-23 base series.

Source: NSO.

exerting only a marginal drag of 0.1 percentage points in 2025-26.

Consumption

II.2.4 During 2025-26, private final consumption expenditure – the mainstay of aggregate demand – grew by 7.7 per cent, strengthening from 5.8



⁴ Refer to footnote 3 of Chapter I of this Report.

per cent a year ago. The growth momentum was buoyed by steady rural consumption and improvement in urban demand, which may be partly attributable to the income tax cuts and goods and services tax (GST) rationalisation.⁵ Government final consumption expenditure remained steady at 6.6 per cent.

Investment and Saving

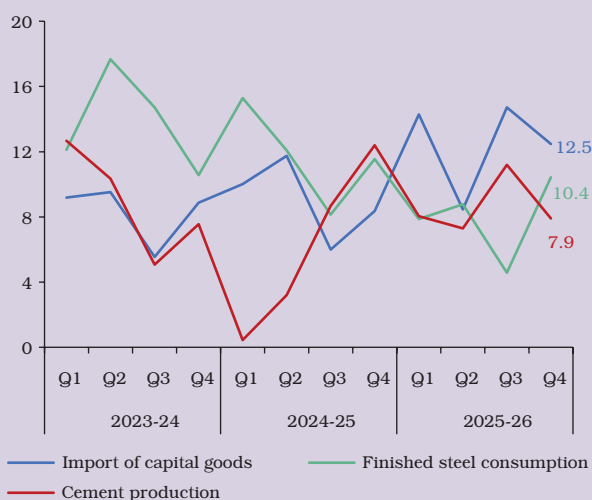
II.2.5 The gross domestic investment rate, measured by the ratio of gross capital formation (GCF) to GDP at current prices, remained broadly stable at 34.3 per cent in 2024-25.⁶ Gross fixed capital formation – a primary component of GCF – expanded at a robust pace of 7.1 per cent in 2025-26 (6.4 per cent a year ago), as reflected in the sustained performance of its key coincident indicators (Chart II.2.2). Government-led capital expenditure continued to play a counter-cyclical

role, helping to crowd in private investment. India's sovereign credit rating upgrade in August 2025 further reinforced investor confidence. Corporate earnings also improved during the year.⁷ While corporate sales growth was subdued at the start of 2025-26, it picked up by Q3 amid strengthening demand.

II.2.6 Gross domestic savings rose to 34.2 per cent of gross national disposable income (GNDI) in 2024-25 from 32.3 per cent in 2023-24. The net household financial saving increased to 7.0 per cent of GNDI in 2024-25 from 5.8 per cent a year earlier, as the decline in household financial liabilities more than offset the moderation in gross financial saving (Appendix Table 3). Gross household financial saving moderated to 11.8 per cent of GNDI in 2024-25 from 12.1 per cent in 2023-24, while household financial liabilities fell sharply to 4.8 per cent of GNDI in 2024-25 from 6.4 per cent in the previous year. Instrument-wise, household financial saving is dominated by deposits, followed by provident and pension funds, insurance, with a gradual increase in investment in shares and debentures (Table II.2.2).

II.2.7 The saving-investment gap narrowed during 2024-25, with the household sector remaining the primary net supplier of funds with its surplus funds rising to 7.8 per cent of GDP in 2024-25 from 6.4 per cent in 2023-24 (Chart II.2.3). The resource gap of private corporations narrowed amid higher savings and lower investment, while fiscal consolidation reduced general government dissaving to 4.6 per cent of GDP from 5.3 per cent of GDP in the preceding year. The narrowing of

Chart II.2.2: Indicators of Fixed Investment Demand
(Growth, per cent, y-o-y)



Sources: Joint Plant Committee, Office of Economic Adviser, NSO, and Directorate General of Commercial Intelligence and Statistics (DGCI&S).

⁵ Several high frequency indicators such as growth in tractor and passenger vehicle sales, declining rural and urban unemployment rates, higher *kharif* output and steady personal loan growth helped to sustain demand throughout the year.

⁶ The gross domestic investment rate reported here is based on the commodity flow (asset-based) approach.

⁷ During Q1 to Q3:2025-26, average operating profits of private non-financial sector increased steadily to 9.4 per cent from 5.7 per cent during the corresponding period of last year.

Table II.2.2: Financial Saving of Household Sector

(Per cent of GNDI)

Item	2015-16	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25
1	2	3	4	5	6	7	8	9	10	11
A. Gross Financial Saving	10.7	10.4	11.9	11.8	11.4	15.2	10.9	11.2	12.1	11.8
<i>of which:</i>										
1. Currency	1.4	-2.1	2.8	1.4	1.4	1.9	1.1	-	-	-
2. Deposits	4.6	6.3	3.0	4.2	4.3	6.2	3.5	-	-	-
3. Shares and Debentures	0.2	1.1	1.0	0.9	0.5	0.5	0.9	-	-	-
4. Claims on Government	0.5	0.7	0.9	1.1	1.3	1.3	1.1	-	-	-
5. Insurance Funds	1.9	2.3	2.0	2.0	1.7	2.8	2.0	-	-	-
6. Provident and Pension Funds	2.1	2.1	2.1	2.1	2.2	2.5	2.3	-	-	-
B. Financial Liabilities	2.7	3.0	4.3	4.0	3.8	3.7	3.8	6.0	6.4	4.8
C. Net Financial Saving (A-B)	7.9	7.3	7.5	7.8	7.6	11.6	7.2	5.2	5.8	7.0

GNDI: Gross National Disposable Income.

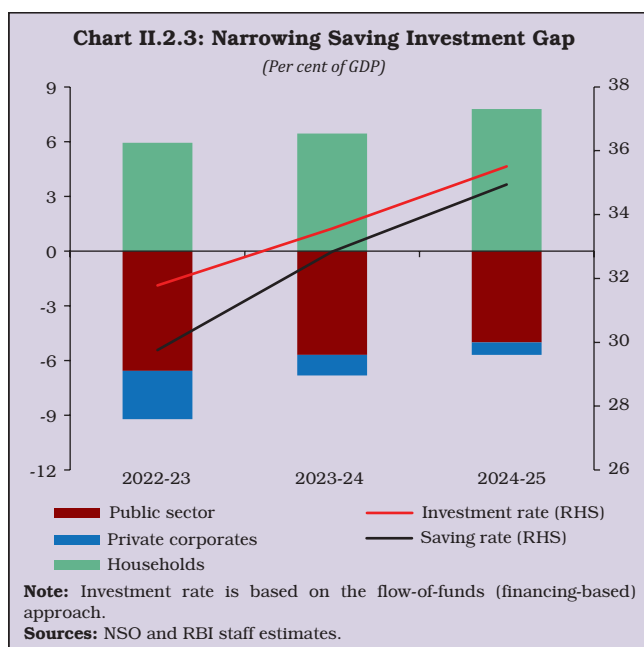
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Notes: 1. Figures may not add up to total due to rounding off of the numbers.

2. Data from 2022-23 onwards are as per the revised base year 2022-23.

Sources: NSO and RBI staff estimates.

the savings-investment gap at the economy-wide level indicates a reduced dependence on external capital and vulnerability to external shocks.



Aggregate Supply

II.2.8 Aggregate supply – measured by real gross value added (GVA) at basic prices – expanded by 7.7 per cent in 2025-26 (7.3 per cent a year ago). GVA growth was driven by a buoyant services sector and a marked improvement in industrial activity, despite some moderation in the agricultural sector (Table II.2.3).

Agriculture and Allied Activities

II.2.9 Agriculture and allied sector growth moderated in 2025-26, reflecting weather-related disruptions in *kharif* crops, although favourable *rabi* conditions provided some support. The above normal⁸ south-west monsoon (Chart II.2.4.a) helped replenish reservoir levels to all-time high (Chart II.2.4.b).^{9,10} Due to higher reservoir levels¹¹

⁸ As per India Meteorological Department (IMD), normal rainfall range is 96-104 per cent of long-period average (LPA).

⁹ Monsoon set in over Kerala on May 24, 2025, arriving eight days ahead of its normal onset date (June 1), marking the earliest arrival since 2009.

¹⁰ Reservoir levels reached 91.4 per cent of the full capacity on October 9, 2025.

¹¹ Reservoir levels at 47 per cent of the full capacity as on March 27, 2026, were higher by 10.5 per cent over previous year and 21.0 per cent over 10-year average.

Table II.2.3: Real GVA Growth

(Per cent)			
Sector	2023-24	2024-25	2025-26
1	2	3	4
I. Agriculture, Livestock, Forestry and Fishing	2.6	4.2	2.4
II. Industry	11.3	8.7	9.5
II.1 Mining and Quarrying	2.4	11.7	4.1
II.2 Manufacturing	12.7	9.3	11.5
II.3 Electricity, Gas, Water Supply and Other Utility Services	10.7	2.9	1.5
III. Services	7.4	7.8	8.7
III.1 Construction	9.9	7.3	7.1
III.2 Trade, Hotels, Transport, Communication and Services Related to Broadcasting, Storage	10.1	6.6	10.1
III.3 Financial, Real Estate, IT, Professional Services and Ownership of Dwellings	5.5	10.0	9.9
III.4 Public Administration, Defence and Other Services	6.8	5.0	5.8
IV. GVA at Basic Prices	7.2	7.3	7.7

Note: Figures are based on the 2022-23 base series.
Sources: NSO and RBI staff estimates.

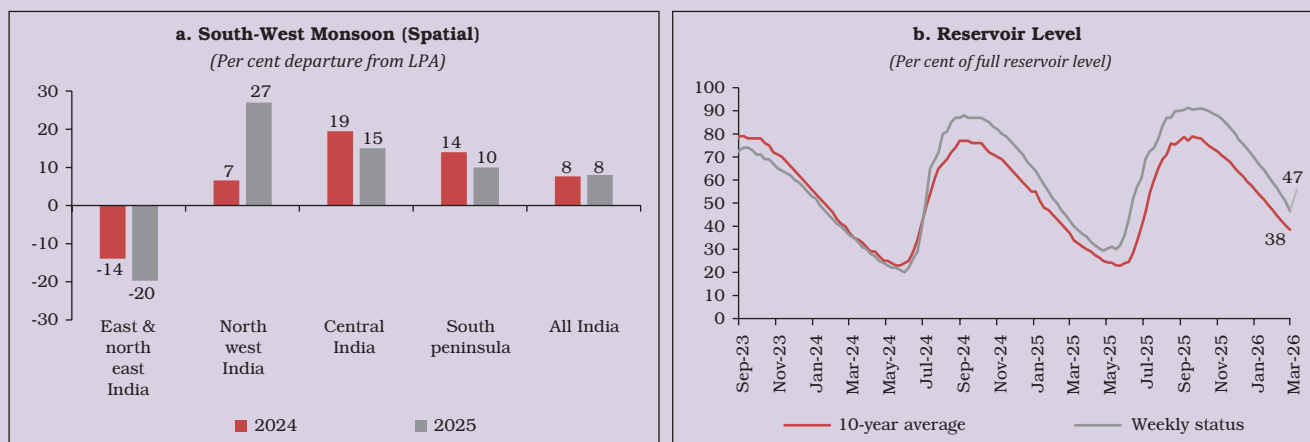
and above normal post-monsoon rainfall¹², *rabi* sowing ended with higher area than last year.¹³ Also, the sowing for summer (*zaid*) season has been progressing well.

II.2.10 As per the second advance estimates (SAE), total foodgrains (*kharif* and *rabi*) production is estimated at a record level in 2025-26. This year is marked with the record production of *kharif* rice, wheat, maize, *kharif* groundnut, rapeseed and mustard and sugarcane (Table II.2.4).

II.2.11 As per the first advance estimates, the production of horticultural crops during 2025-26 increased to a record level, mainly driven by banana, tomato and plantation crops¹⁴.

II.2.12 The government announced an increase in minimum support prices¹⁵ for major *kharif* and *rabi* crops, ensuring a minimum return of 50 per cent over the cost of production.¹⁶ The wheat

Chart II.2.4: Rainfall and Reservoir Levels



LPA: Long-period average.

Sources: India Meteorological Department (IMD) and Central Water Commission (CWC), GoI.

¹² The post-monsoon rainfall in 2025 (October 1 - December 31) was 11 per cent above its LPA.

¹³ The final area sown under *rabi* crops (as on January 30, 2026) was 2.4 per cent higher than last year. Acreage under all major crops has been higher than last year.

¹⁴ The production of horticultural crops during 2025-26 is placed at 3,708 lakh tonne which is marginally higher (0.03 per cent) than the final estimates of 2024-25.

¹⁵ The increase was in the range of 1.0-13.9 per cent for *kharif* marketing season 2025-26 and 4.0-10.1 per cent for *rabi* marketing season 2026-27.

¹⁶ Actual paid out cost *plus* value of family labour (A2+FL).

Table II.2.4: Agricultural Crop Production 2025-26*

(Lakh tonne)			
Crops	2024-25 Final Estimate	2025-26 SAE	2025-26 SAE Variation over 2024-25 Final Estimate (per cent)
1	2	3	4
1. Foodgrains	3,386.3	3,486.6	3.0
Rice	1,389.0	1,406.5	1.3
Wheat	1,179.5	1,202.1	1.9
Coarse Cereals	588.2	639.3	8.7
Pulses	229.7	238.7	3.9
<i>Tur</i>	36.2	34.6	-4.7
Gram	111.1	117.9	6.1
Lentil	16.5	17.3	4.8
<i>Urad</i>	18.9	17.1	-9.5
<i>Moong</i>	18.7	20.7	10.4
2. Oilseeds	416.6	410.0	-1.6
3. Sugarcane (Cane)	4,546.1	5,002.0	10.0
4. Cotton #	297.2	290.9	-2.1
5. Jute & Mesta ##	88.0	83.4	-5.2

*: *Kharif* and *Rabi* crops (excluding summer crops).

#: Lakh bales of 170 kg each.

##: Lakh bales of 180 kg each.

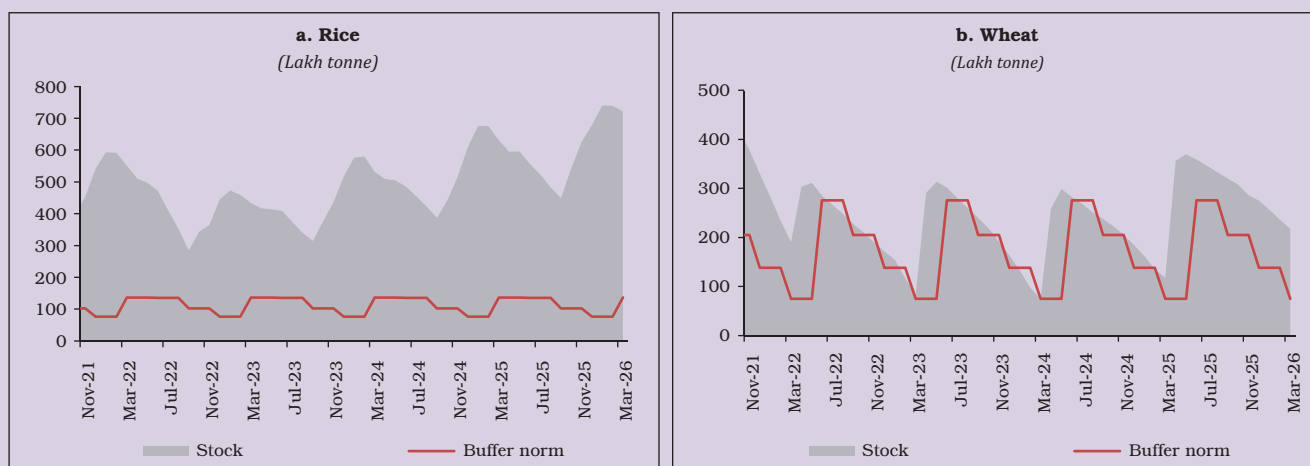
Source: Ministry of Agriculture and Farmers Welfare, GoI.

procurement in *rabi* marketing season 2025-26 has been at a four-year high and rice procurement in *kharif* marketing season 2025-26 has also been robust.

II.2.13 As at end-March 2026, the overall public stock of foodgrains held by Food Corporation of India is more than four times the buffer requirement, mainly due to high stock of rice (Chart II.2.5).¹⁷ The government has allotted 52 lakh tonne of rice from the excess stock for ethanol blending. Similarly, the export restrictions for wheat and wheat products have been partially relaxed.¹⁸ Going forward, the likelihood of *El Niño*¹⁹ during the upcoming *kharif* season needs to be closely monitored.

Industrial Sector

II.2.14 Industrial sector GVA growth surged to 9.5 per cent in 2025-26. Manufacturing activity, which accounts for 80 per cent of the industrial sector, picked up in 2025-26 as reflected in higher

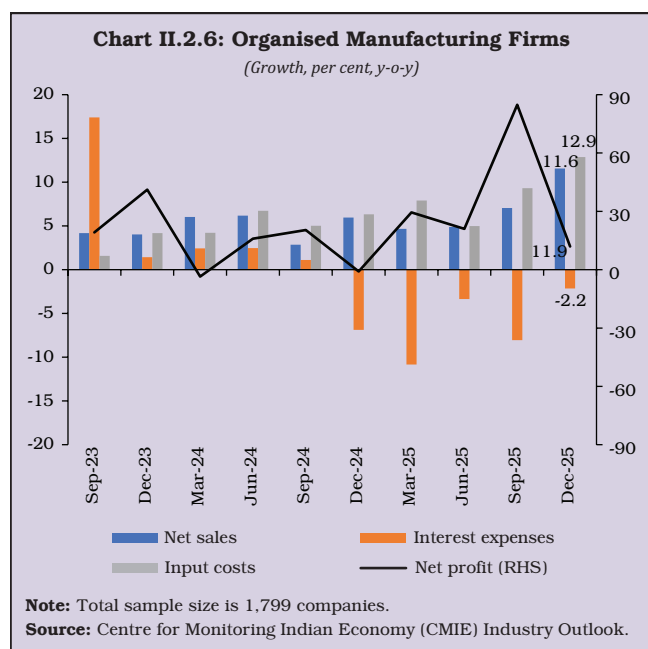
Chart II.2.5: Comfortable Monthly Position of Stock and Buffer Norm

Source: Food Corporation of India, Ministry of Consumer Affairs, Food and Public Distribution, GoI.

¹⁷ The total stock stood at 939 lakh tonne with the rice stock of 721.2 lakh tonne (5.3 times the buffer norms) and wheat stock at 217.9 lakh tonne (2.9 times the buffer requirement).

¹⁸ 'Government approves wheat export and allows additional wheat product and sugar export', Press Information Bureau (PIB), February 13, 2026.

¹⁹ As per National Oceanic and Atmospheric Administration (NOAA), in May-July 2026, *El Niño* is likely to emerge (82 per cent chance) and persist through at least the end of 2026.



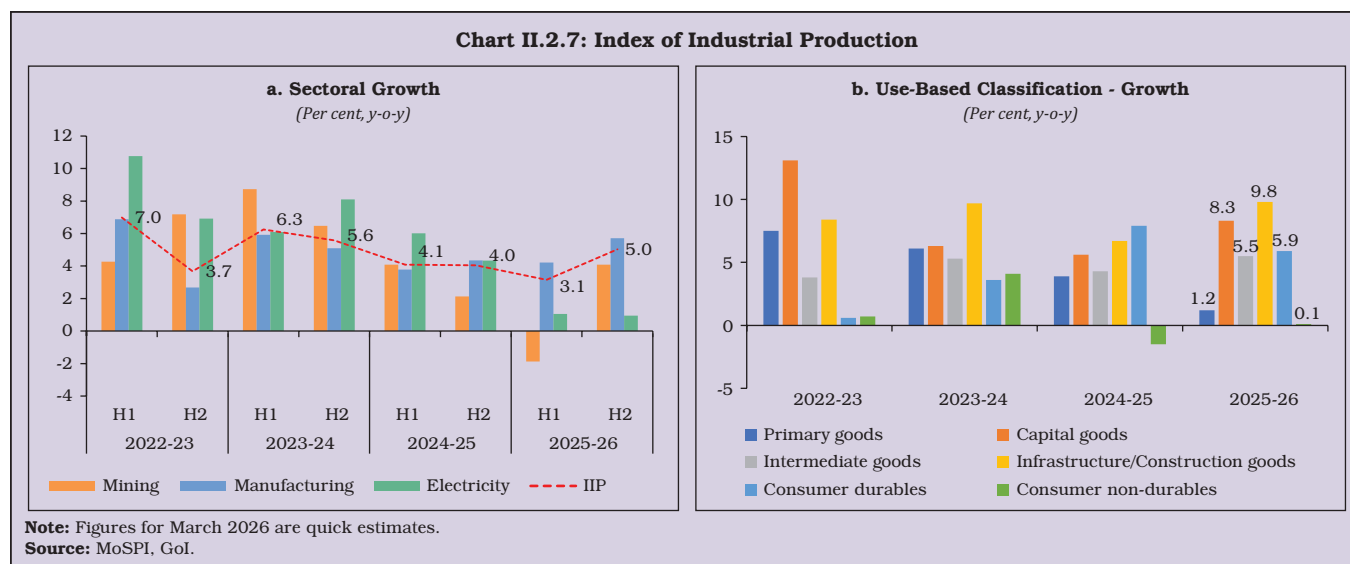
sales growth and profitability in H1:2025-26 (Chart II.2.6).

II.2.15 Industrial output, as measured by the index of industrial production (IIP), moderated during H1:2025-26 due to mining and electricity (Chart II.2.7a). In H2:2025-26, IIP recovered with a rebound in mining activity and further

strengthening of the manufacturing sector. Overall, the manufacturing sector posted strong growth with 16 of 23 industry groups recording expansion in 2025-26. As per use-based classification, all categories of industries recorded growth (Chart II.2.7b).

II.2.16 Renewable energy (including large hydro), which accounts for nearly one fourth of power generation, grew by 18.4 per cent y-o-y in 2025-26 (Chart II.2.8). By end-March 2026, India's non-fossil energy capacity reached 283 gigawatt (53.2 per cent of the total installed power capacity), enabling India to meet its COP26 target of 50 per cent non-fossil capacity well ahead of 2030.²⁰ Investments have shifted towards renewables, with most new project spending concentrated in this sector away from conventional capacity.

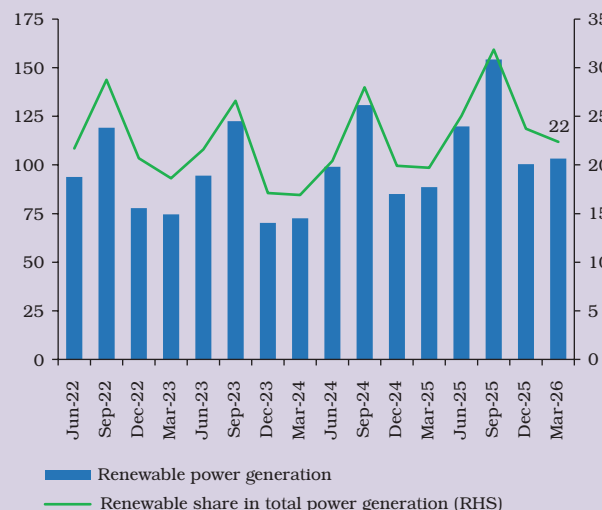
II.2.17 After remaining subdued during H1:2025-26, both capacity utilisation and private capex showed early signs of revival, indicating improving business confidence and upbeat demand conditions in the second half of the year.



²⁰ Non-fossil energy comprises renewable energy (including large hydro) and nuclear energy.

Chart II.2.8: Renewable Power Generation

(Thousand GWh, left scale; Per cent, right scale)

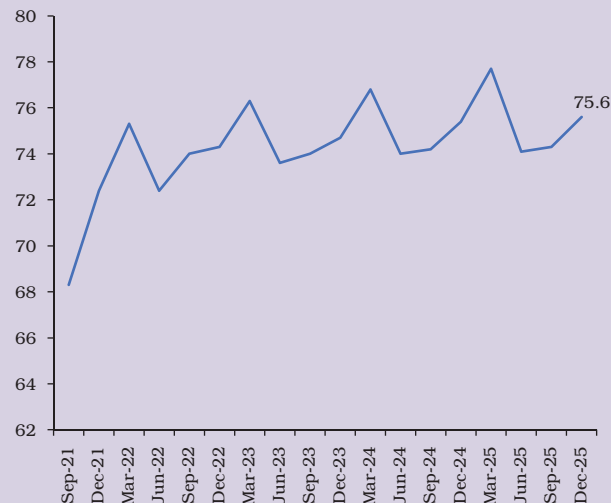


GWh: Gigawatt hour.

Source: Central Electricity Authority.

Chart II.2.9: Manufacturing Capacity Utilisation

(Per cent)



Source: Order Books, Inventories and Capacity Utilisation Survey (OBICUS), RBI.

Manufacturing capacity utilisation increased to 75.6 per cent in Q3:2025-26, expanding for the second successive quarter, supported by sequential growth in new orders and stable inventory levels (Chart II.2.9).

II.2.18 Private sector net fixed asset growth recovered in 2025-26, with growth rising to 11.5 per cent in H1:2025-26, driven by telecommunications, metals, construction, and automobiles. The production linked incentive (PLI) scheme gave a fillip to private sector investment with the scheme attracting an actual investment of over ₹2.2 lakh crore, leading to incremental production/sales of over ₹20.4 lakh crore and employment generation of over 14.4 lakh as at end-December 2025.²¹

Services Sector

II.2.19 Services sector growth strengthened to 8.7 per cent in 2025-26, on the back of broad-based expansion across trade, transport and

hotels and restaurants; and financial, real estate and professional services. High frequency indicators of services sector reflected a mixed picture in 2025-26. In H2:2025-26, following GST 2.0 reforms, commercial vehicle sales and vehicle registrations surged. Other indicators such as retail automobile sales (passenger vehicle, tractor, two-wheeler and three-wheeler), domestic air cargo, port cargo, railway freight traffic, foreign tourist arrivals, and GST E-way bills intra-state also improved as compared to H2:2024-25. While air passenger traffic and toll collection (value) moderated, hotel occupancy indicator showed contraction during the same period (Table II.2.5).

II.2.20 India's construction sector showed mixed trends in 2025-26 with moderating steel consumption and improving cement production as compared to 2024-25 (Table II.2.5). During Q3:2025-26, housing launches accelerated,

²¹ 'PLI scheme with ₹1.9 lakh crore outlay drives strong industry participation across 14 strategic sectors', PIB, February 20, 2026.

Table II.2.5: High Frequency Indicators - Growth Rate

(Per cent, y-o-y)

Indicators	2024-25				2025-26			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
1	2	3	4	5	6	7	8	9
Domestic Air Passenger Traffic	5.6	7.3	11.4	12.0	5.3	-1.9	1.7	0.6
Transport								
Commercial Vehicle Sales	3.7	-10.6	1.3	1.8	-0.6	8.4	21.8	19.0
Vahan Total Registration	10.1	3.1	11.7	0.7	5.2	2.0	19.9	23.4
Toll Collection-Volume	5.6	7.6	9.8	15.1	16.2	10.7	2.6	-4.9
Toll Collection-Value	9.5	10.3	12.7	17.2	19.7	17.5	12.2	6.7
International Air Passenger Traffic	14.2	10.3	10.0	8.6	7.0	6.8	7.6	-2.5
Domestic Air Cargo	7.1	7.7	4.6	3.5	6.6	4.9	6.8	12.5
International Air Cargo	18.4	21.8	15.0	1.5	4.7	3.6	7.3	5.7
Railways Freight Traffic: Freight Originating*	5.1	-0.4	1.5	0.1	2.4	4.0	3.2	2.9
Port Cargo	3.9	6.2	-1.6	7.9	5.6	5.9	13.0	4.3
Domestic Trade								
GST E-Way Bill	16.0	16.8	16.9	19.4	20.5	23.1	19.4	15.7
GST E-Way Bill Intra-State	17.5	17.0	13.8	19.5	20.9	25.9	23.7	19.3
GST E-Way Bill Inter-State	13.2	16.5	23.0	19.1	19.7	18.0	11.5	9.2
GST Revenue	10.2	9.2	8.7	10.7	12.4	8.4	4.8	7.7
Construction								
Steel Consumption	15.3	12.1	8.1	11.6	7.9	8.8	4.6	10.4
Cement Production	0.5	3.2	8.7	12.4	8.1	7.3	11.2	8.2
Tourism and Hospitality								
Hotel Occupancy Rate	-2.4	2.1	1.8	1.2	1.4	-2.0	0.8	-3.6
Foreign Tourist Arrivals*	5.5	1.6	-0.3	-10.0	-18.3	-10.8	-1.4	5.2
PMI								
Services PMI	60.5	59.6	58.7	58.0	59.3	61.4	58.9	58.0
Services Future Outlook	63.2	62.2	63.8	62.2	59.4	60.1	57.1	62.8
Composite PMI	61.0	59.9	59.0	58.7	60.0	61.8	59.3	58.1
Composite Future Outlook	63.8	62.3	63.6	63.1	60.6	60.4	57.6	62.0



Contraction

Expansion

PMI: Purchasing Managers' Index.

*: Data for Q4:2025-26 are up to January 2026.

Note: All PMI values are reported in index form (>50: Expansion; <50: Contraction; and =50: No change).

Sources: Airports Authority of India; Federation of Automobile Dealers Associations (FADA); Society of Indian Automobile Manufacturers (SIAM); National Payments Corporation of India; Vahan Registration Portal; Ministry of Railways, GoI; Indian Ports Association; Goods and Services Tax Network (GSTN); Joint Plant Committee, Office of Economic Adviser, GoI; HVS Anarock, and Ministry of Tourism, GoI and S&P Global.

supported by GST-led cost reductions while sales declined after registering modest growth

in the previous quarter. Sales adjusted inventory overhang²², after stabilising in recent quarters,

²² Time in months it would take to sell the current inventory.

inched up in Q3:2025-26, but remained below the two-year pre-COVID-19 average of 32 months (Chart II.2.10).

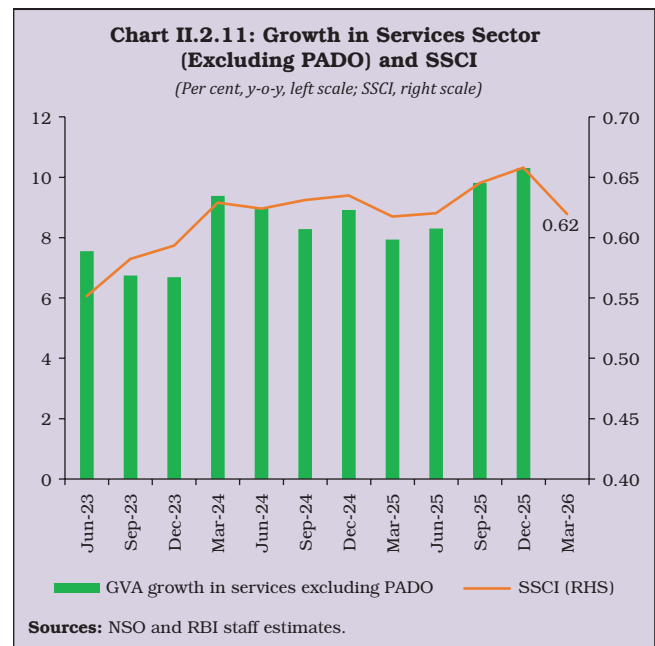
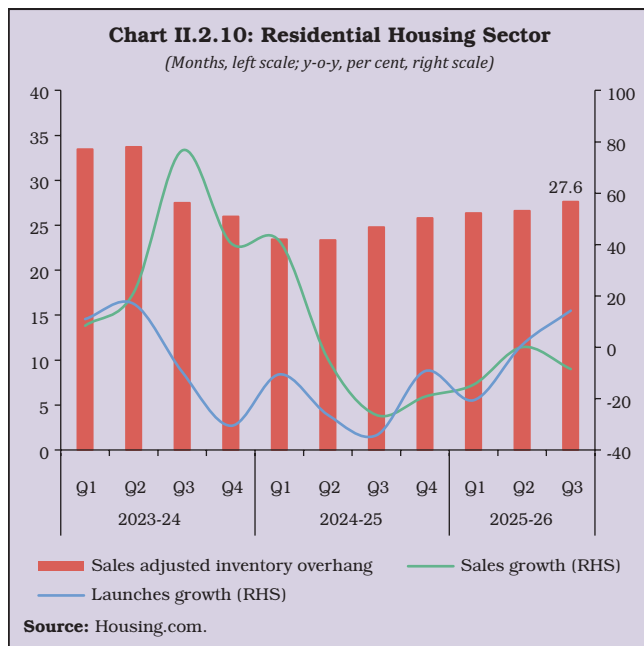
II.2.21 The services sector composite index (SSCI)²³, which monitors activity in construction, trade, transport, and financial services, and serves as a coincident indicator of GVA growth in the services sector [excluding public administration, defence, and other services (PADO)], moderated in March 2026, after showing a sequential improvement in the preceeding three quarters. The moderation in SSCI is driven by weak growth in trade and transport indicators in Q4:2025-26 (Chart II.2.11).

Employment

II.2.22 Employment conditions remained steady in 2025. According to the annual periodic labour force survey (PLFS) report for January-

December 2025, the labour force participation rate (LFPR), worker population ratio (WPR), and the unemployment rate (UR) showed marginal decline (Chart II.2.12a).²⁴ LFPR and WPR moderated in rural areas, whereas urban LFPR remain unchanged and WPR increased (Chart II.2.12b). The share of regular wage/salaried and casual labour increased, while the share of self-employed declined in total employed (Chart II.2.12c).

II.2.23 Recently enacted labour reforms are expected to improve labour market flexibility and reduce compliance burden while ensuring universal social security coverage, statutory minimum wages, and enhanced health and safety provisions, thereby encouraging formal job creation, worker well-being and enterprise expansion.



²³ SSCI is constructed by extracting and combining high-frequency data from key indicators across three major sub-sectors of the services sector, viz., construction; trade, hotels, transport, communication and broadcasting services; and financial, real estate and professional services. These indicators are combined using a dynamic factor model to generate the final index.

²⁴ All PLFS indicators are in the usual status (principal status+subsidiary status) and for persons aged 15 years and above.

Chart II.2.12: Labour Market Indicators – PLFS



Source: MoSPI, GoI.

Conclusion

II.2.24 India's economic activity exhibited marked resilience in 2025-26, driven by a steady momentum in private consumption, uptick in fixed investment, strong performance of manufacturing activity and upbeat performance in services. Moreover, the recently concluded India-EU free trade agreement (FTA), along with discussions on the India-US trade deal and several other trade agreements are expected to support exports over the medium-term. However, moderation in agricultural and allied sector activity due to weather-related events, coupled with global

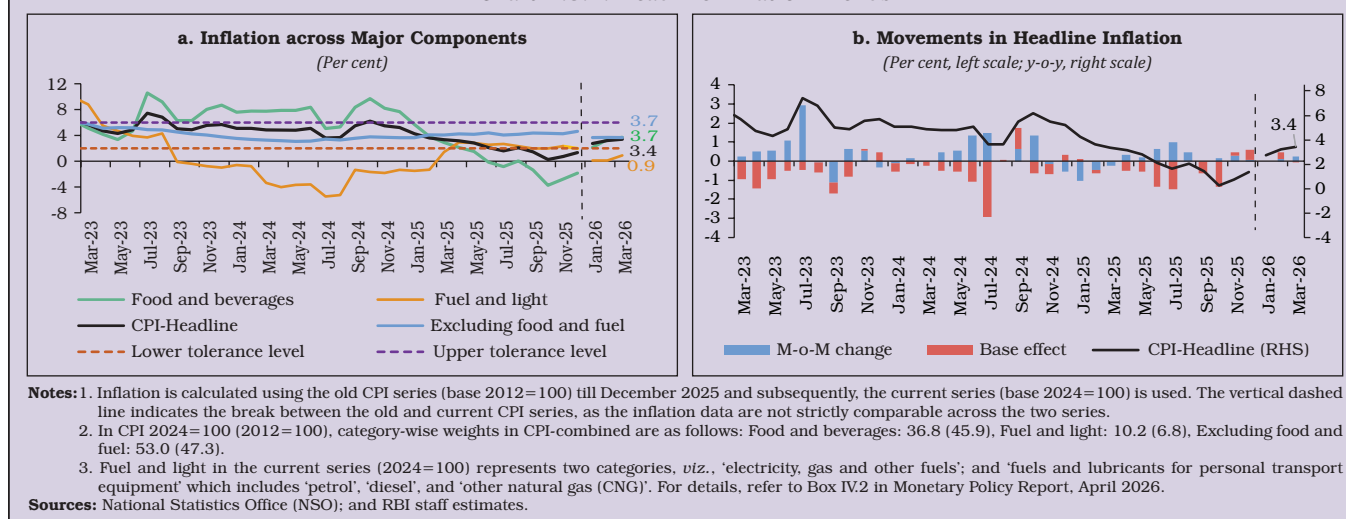
headwinds such as persistent geopolitical tensions, uncertain trade environment and volatility in financial markets continue to pose downside risks to growth outlook.

II.3 PRICE SITUATION

II.3.1 Inflation dynamics during 2025-26 was characterised by a sustained period of moderation, marking a distinct break from the previous years. Headline inflation moderated to 2.1 per cent during 2025-26, aided by deflation in food and strong favourable base effect (Chart II.3.1)²⁵. Rationalisation and simplification of GST rates in September 2025 also helped limit price

²⁵ MoSPI has released the CPI base 2024=100 series since January 2025, with a linking factor of 0.53 for headline inflation. However, due to changes in methodology, sample size and collection techniques, the new series is not strictly comparable to the old series. In this section therefore, discussion about CPI inflation till December 2025 pertains to the CPI series with base 2012=100, and for subsequent months as per the base 2024=100.

Chart II.3.1: Headline Inflation Trends



pressures across several goods and services. Core inflation, *i.e.*, Consumer Price Index (CPI) excluding food and fuel, on the other hand, faced upward pressures emanating from precious metals. Towards the end of the year, however, as the conflict in West Asia broke out, the increase in domestic liquefied petroleum gas (LPG) prices pushed up inflation in the fuel and light component.

II.3.2 On February 12, 2026, the Ministry of Statistics and Programme Implementation (MoSPI), Government of India (GoI), released a new CPI series with base year 2024=100. The revised structure follows the United Nation's Classification of Individual Consumption According to Purpose (COICOP) 2018, with the weights being derived from the Household Consumption Expenditure Survey (HCES) 2023-24. Under the new structure, the erstwhile six groups as per the CPI base year 2012=100 have now been reconstituted into 12 divisions. Notably, the weight of 'food and beverages' declined from 45.9 per cent to 36.8 per cent in the new series, reflecting evolving consumption patterns

of consumers towards more non-food items, as well as a reclassification of prepared meals to a new division 'restaurants and accommodation services'. Additionally, 'housing' and 'fuel and light' groups have been clubbed together into 'housing, water, electricity, gas and other fuels division', whereas 'transport and communication' group has been segregated into 'transport' and 'information and communication' divisions (Table II.3.1).

II.3.3 While average inflation moderated sharply, volatility, as measured by standard deviation, increased marginally in 2025-26 as inflation ranged from 0.3 to 3.4 per cent (Table II.3.2). The intra-year distribution of inflation exhibited a slight negative skewness indicating a slightly longer tail towards lower inflation outcomes.

Constituents of CPI Inflation

Food

II.3.4 Prices of food and beverages contracted by 0.8 per cent in 2025-26 (April-December 2025), year-on-year (y-o-y), as compared to an increase of 7.6 per cent in the corresponding period of the preceding year. In Q4:2025-26, inflation in food

Table II.3.1: Change in CPI Weighting Structure

S. No.	Divisions	CPI 2024 = 100	S. No.	Groups	CPI 2012 = 100
1	2	3	4	5	6
1	Food and beverages	36.8	1	Food and beverages	45.9
2	Pan, tobacco and intoxicants	3.0	2	Pan, tobacco and intoxicants	2.4
3	Clothing and footwear	6.4	3	Clothing and footwear	6.5
4	Housing, water, electricity, gas and other fuels	17.7	4	Housing	10.1
5	Furnishings, household equipment and routine household maintenance	4.5	5	Fuel and light	6.8
6	Education services	3.3	6	Miscellaneous	28.3
7	Health	6.1		<i>of which:</i>	
8	Information and communication	3.6	6.1	Household goods and services	3.8
9	Transport	8.8	6.2	Health	5.9
10	Recreation, sport and culture	1.5	6.3	Transport and communication	8.6
11	Personal care, social protection and miscellaneous goods and services	5.0	6.4	Recreation and amusement	1.7
12	Restaurants and accommodation services	3.3	6.5	Education	4.5
			6.6	Personal care and effects	3.9
Total		100	Total		100

Note: Each CPI series follows the classification that it was published with, and the weighting structure across similar categories are not strictly comparable.
Sources: NSO; and RBI staff estimates.

and beverages averaged higher at 3.1 per cent (CPI 2024=100). In October 2025, CPI food and beverages recorded the steepest deflation in the CPI series at 3.7 per cent (y-o-y) before inching up to 1.8 per cent deflation in December. The secular decline in inflation from a peak of 9.7 per cent in October 2024 was primarily driven by muted price

pressures in vegetables, pulses and cereals, and a strong favourable base effect (Chart II.3.2). Favourable supply-side factors, *i.e.*, comfortable foodgrain stocks stemming from higher domestic and steady wholesale market arrivals, supportive trade policies, proactive supply management by the government, and largely conducive weather

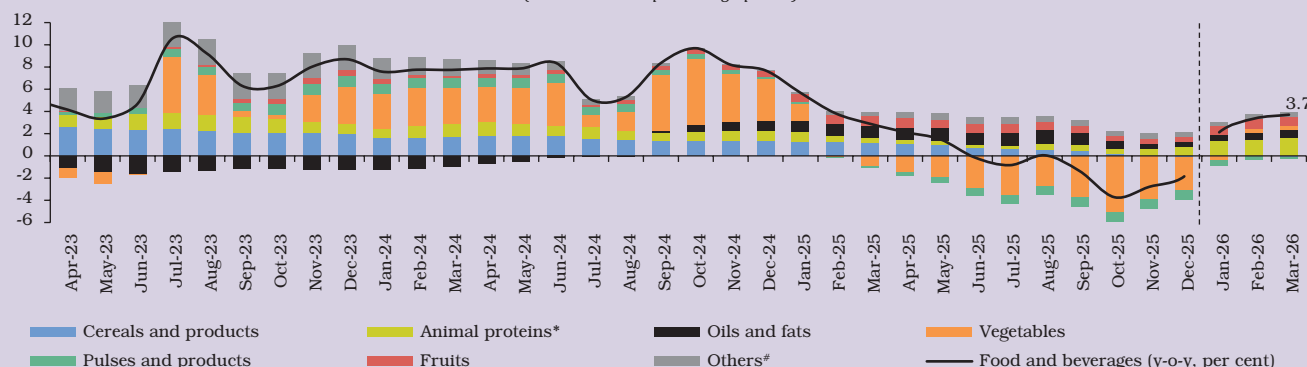
Table II.3.2: CPI Headline Inflation – Key Summary Statistics

	2016-17	2017-18	2018-19	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26
1	2	3	4	5	6	7	8	9	10	11
Mean	4.5	3.6	3.4	4.8	6.2	5.5	6.7	5.4	4.6	2.1
Standard deviation	1.0	1.2	1.1	1.8	1.1	0.9	0.7	0.9	0.9	1.0
Skewness	0.2	-0.2	0.1	0.5	-0.7	-0.1	-0.1	1.5	0.0	-0.3
Kurtosis	-1.6	-1.0	-1.5	-1.4	-0.7	-1.0	-0.6	1.6	-1.2	-1.0
Median	4.3	3.4	3.5	4.3	6.5	5.6	6.7	5.1	4.8	2.1
Maximum	6.1	5.2	4.9	7.6	7.6	7.0	7.8	7.4	6.2	3.4
Minimum	3.2	1.5	2.0	3.0	4.1	4.2	5.7	4.3	3.3	0.3

Notes: 1. Skewness and kurtosis are unit-free. Annual inflation is the average of the monthly inflation rates during the year and therefore, may vary from the annual inflation calculated from the average index for the year.
2. Monthly inflation rates pertain to the old CPI series (base 2012=100) till December 2025, subsequently, to the current series (base 2024=100).
Sources: NSO; and RBI staff estimates.

Chart II.3.2: Moderation in Food Inflation in Recent Period

(Contribution in percentage points)



*: Includes egg, milk and products and meat and fish.

#: Includes sugar, confectionery and desserts; ready-made food and other food products; beverages; and services for processing primary goods for food.

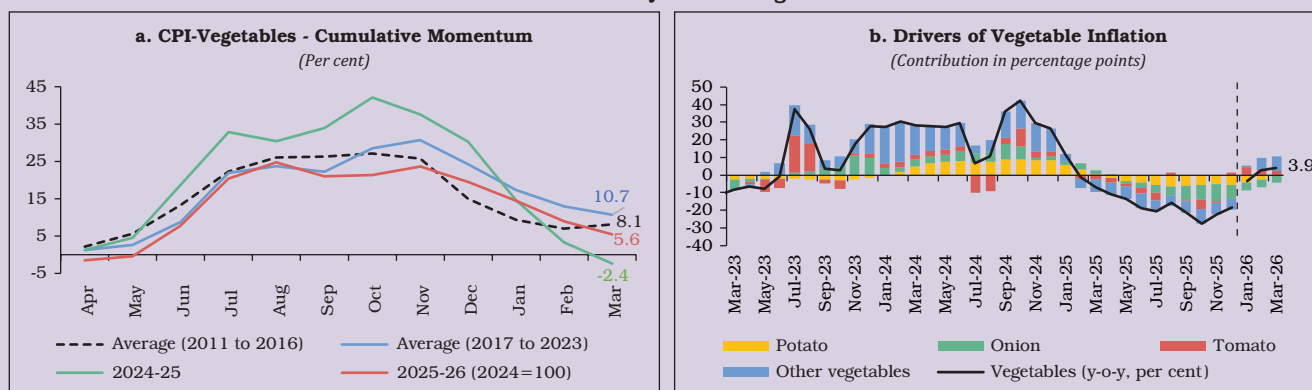
Note: Inflation is calculated using the old CPI series (base 2012=100) till December 2025, and subsequently, the current series (base 2024=100) is used. The vertical dashed line indicates the break between the old and current CPI series, as the inflation data are not strictly comparable across the two series.**Sources:** NSO; and RBI staff estimates.

conditions contributed to moderation in food inflation.

II.3.5 Vegetables experienced an unusually low and delayed summer price build-up following an extended period of winter price easing, in contrast to seasonal and historical patterns. Vegetable prices recorded a 19.4 per cent (y-o-y) decline during April-December 2025, followed by a pick-up of 0.8 per cent Q4:2025-26 (Chart II.3.3a).

II.3.6 Tomato, onion and potato (TOP) prices remained benign throughout the year. A low

summer build-up in prices was followed by a sharp decline in September-October 2025 as production and market availability remained robust. A deflation of 31.3 per cent during the first three quarters and 12 per cent during Q4:2025-26 was recorded in this category, particularly driven by onion, on account of steady arrivals from higher production in 2024-25 (26.7 per cent over 2023-24), lower exports and supply-side measures including targeted retail sales from government's buffer stocks (Chart 11.3.3b). Prices of vegetables excluding TOP also recorded a contraction of 11.4

Chart II.3.3: Seasonality in CPI- Vegetables Prices**Notes:** 1. In chart b, inflation is calculated using the old CPI series (base 2012=100) till December 2025, and subsequently, the current series (base 2024=100) is used. The vertical dashed line indicates the break between the old and current CPI series, as the inflation data are not strictly comparable across the two series.

2. In CPI 2024=100 (2012=100), category-wise weights in CPI-vegetables are as follows: Potato: 14.8 (16.3), Onion: 13.8 (10.7), Tomato: 9.7 (9.5), and Other vegetables: 61.6 (63.5).

Sources: NSO; and RBI staff estimates.

per cent in April-December 2025 (y-o-y) followed by an increase of 8 per cent (y-o-y) in Q4:2025-26, largely due to unfavourable base effects.

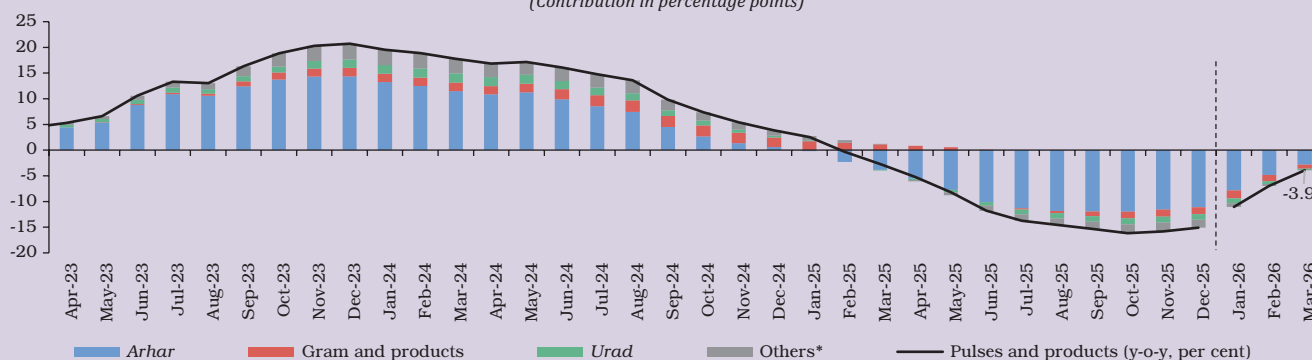
II.3.7 Pulses, the primary source of plant-based protein, recorded deflation of 13 per cent during the first three quarters against a 11.4 per cent price increase in the previous year, followed by deflation of 7.9 per cent in Q4:2025-26. Inflation in pulses moderated sequentially for 17 months till October 2025 amidst higher availability from robust production in 2024-25 (5.9 per cent higher over 2023-24), large imports of key pulses (yellow peas, *arhar* and *urad*), stock disclosure requirements and retail sales of *Bharat Dal* by the central government²⁶ (Chart II.3.4).

II.3.8 Cereals recorded a modest price increase of 2.4 per cent during April-December 2025 as compared to 7.6 per cent in the previous year, driven by a broad-based decline in prices of rice, wheat and other cereals and products. In Q4:2025-26, cereals prices contracted by 0.2 per cent driven by wheat (Chart II.3.5). Wheat

recorded deflation after 50 months in December 2025 led by record production (higher by 4.1 per cent in 2024-25), comfortable buffer stocks (1.7 times the norm as on March 16, 2026), and continued export restrictions till February 2026. Record rice production (higher by 9 per cent in 2024-25) and high buffer stocks (9.7 times the norm as on March 16, 2026) kept rice inflation subdued.

II.3.9 Unlike overall benign food inflation through the year driven by the staples, 'fruits' and 'oils and fats' witnessed upside price pressures. Decline in coconut production by 5 per cent due to higher temperature and unseasonal rains in 2024-25 led to higher coconut prices, leading to an average fruit inflation of 10.6 per cent during April-December 2025 and 7.9 per cent during Q4. Oils and fats inflation remained in double-digits for 12 consecutive months till October 2025 and recorded a 15 per cent increase in prices (y-o-y) in 2025-26 (April-December) from 1.9 per cent during the corresponding period a year ago, followed by a 7.3 per cent increase in prices

Chart II.3.4: CPI-Pulses Deflation Led by Arhar
(Contribution in percentage points)



*: Includes moong, masur, peas and other pulses products.

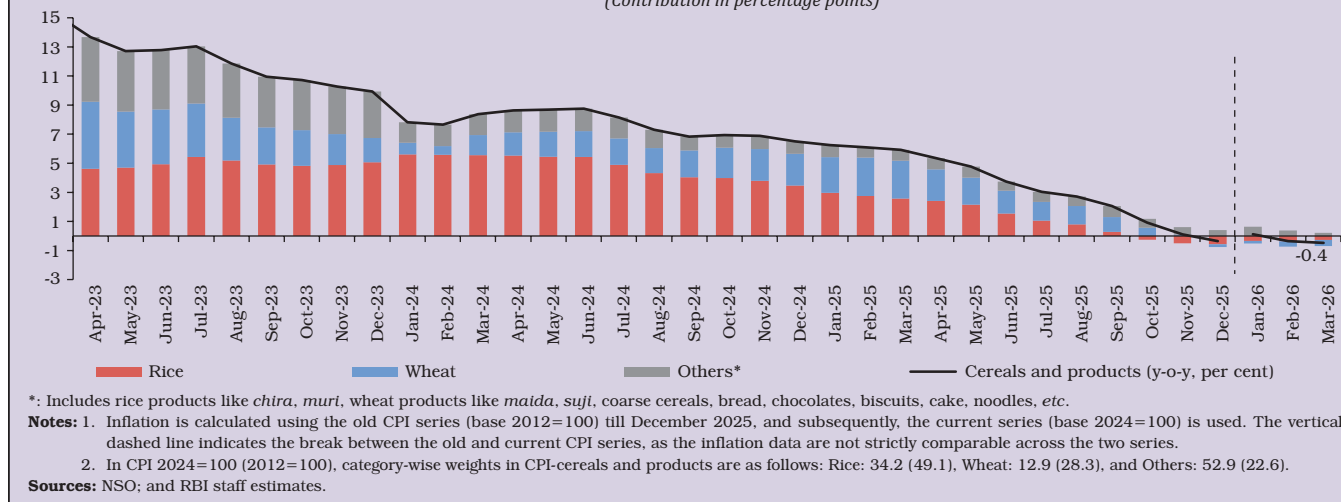
Notes: 1. Inflation is calculated using the old CPI series (base 2012=100) till December 2025, and subsequently, the current series (base 2024=100) is used. The vertical dashed line indicates the break between the old and current CPI series, as the inflation data are not strictly comparable across the two series.

2. In CPI 2024=100 (2012=100), category-wise weights in CPI-pulses and products are as follows: *Arhar*: 32.4 (33.4), *Gram and products*: 19.9 (13.3), *Urad*: 11.2 (11.5), and *Others*: 36.4 (41.8).

Sources: NSO; and RBI staff estimates.

²⁶ In April 2024, Gol directed all states and union territories to enforce weekly stock disclosure and verification for five major pulses - *tur*, *urad*, *chana*, *masur* and *moong* - and imported yellow peas by all stockholding entities.

Chart II.3.5: CPI-Cereals Inflation Remained Low
(Contribution in percentage points)



(y-o-y) in Q4:2025-26. This was due to higher international palm oil prices on account of higher bio-diesel mandates in key producer countries. Furthermore, a domestic production shortfall in 2024-25 led to price pressures in mustard oil, which recorded a 41-month high inflation of 24.2 per cent in August 2025. Production shortfall in soybean during the 2025-26 *kharif* season may pose some upside risks despite higher *rabi* output of mustard and rapeseed (as per second advance estimates of 2025-26). Prices of fats like *ghee* and butter remained largely stable through the year and recorded a decline in October 2025 due to reduced GST rates on retail prices.

II.3.10 Among other food items, prices of spices remained in deflation for 18 consecutive months till December 2025, driven primarily by *jeera* (cumin) and dry chillies. Inflation in animal proteins was subdued in 2025-26 as weather conditions remained favourable for cattle and poultry, although prices picked up in meat and fish during January-March 2026.

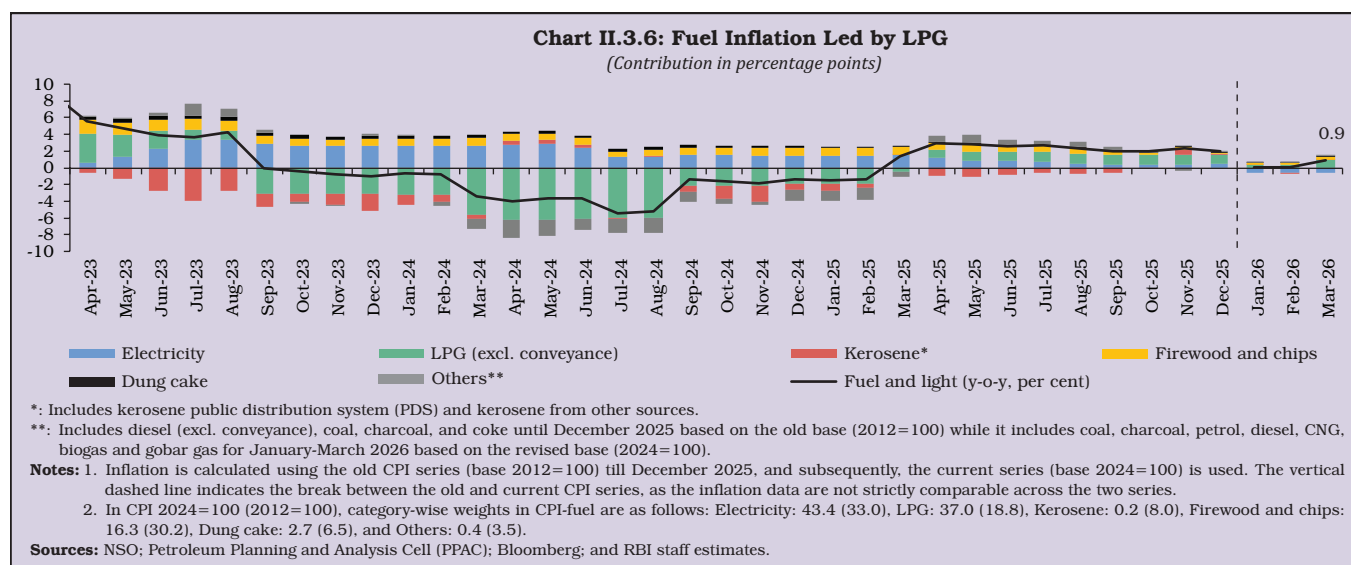
Fuel

II.3.11 Fuel inflation increased to 2.4 per cent during April-December 2025 from a deflation of 3.2 per cent during the corresponding period a year ago, due to a price hike of ₹50 per LPG cylinder in April 2025. Consequently, the fuel group's contribution to headline inflation increased to 8.8 per cent in April-December 2025 from (-) 4.3 per cent a year ago (Chart II.3.6). In March 2026, inflation in fuel rose to 0.9 per cent from 0.1 per cent in January and February each, on account of ₹60 hike per LPG cylinder in March 2026.

Core Inflation (Inflation Excluding Food and Fuel)²⁷

II.3.12 Core inflation remained range bound, averaging 4.3 per cent during April-December 2025, compared with 3.4 per cent in the corresponding period a year ago (Appendix Table 4). Under the revised series (2024=100), core inflation remained broadly stable at 3.7

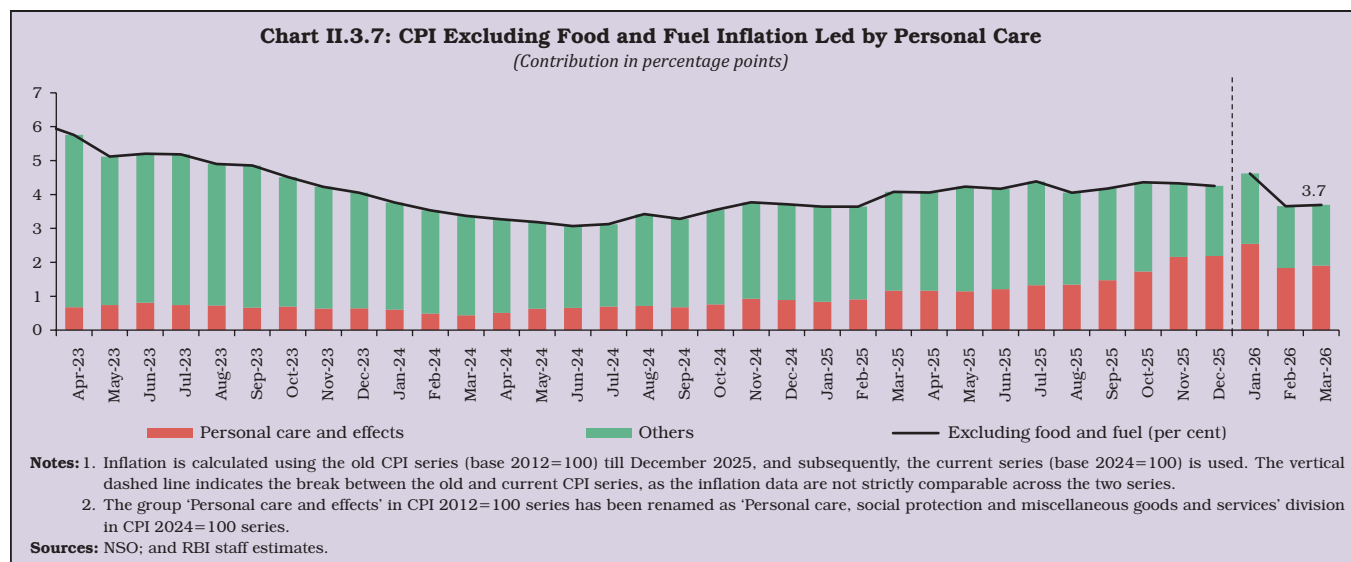
²⁷ In the CPI 2012=100 series, CPI excluding food and fuel was estimated by excluding 'Food and Beverages' and 'Fuel and Light' groups from CPI-headline. In the CPI 2024=100 series, 'Fuel and Light' represents two categories, viz., 'electricity, gas and other fuels'; and 'fuels and lubricants for personal transport equipment' which includes 'petrol', 'diesel', and 'other natural gas (CNG)'.

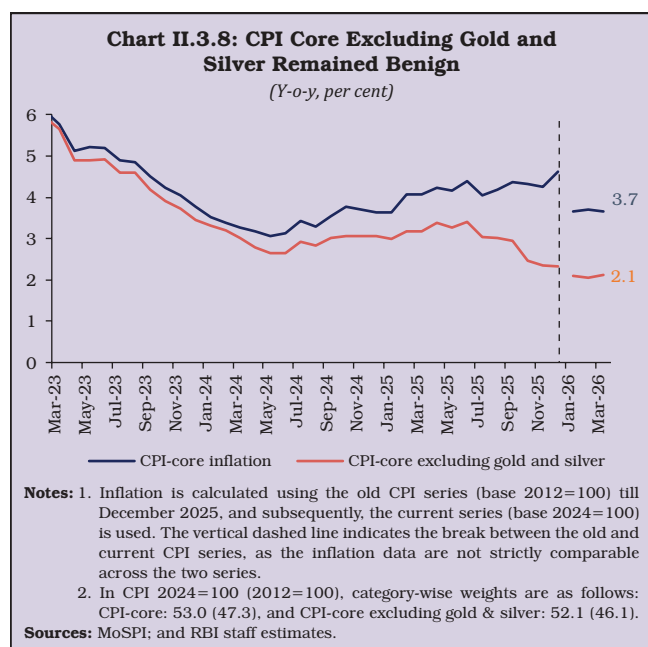


per cent during January to March 2026. The persistence in core inflation was largely driven by elevated inflation in 'personal care and effects' including gold and silver precious metals, which accounted for nearly half of the core inflation in the second half of 2025-26 (Chart II.3.7).

II.3.13 The rise in inflation in personal care and effects was primarily driven by a surge in prices of precious metals – gold and silver, reflecting heightened global safe-haven demand amid geopolitical uncertainty and the

evolving global monetary policy trajectory and expectations. Excluding gold and silver, core inflation moderated in the second half of 2025-26 supported by GST rationalisation measures-led price corrections, particularly in motor vehicles and related components (Chart II.3.8). Inflation in clothing and footwear fell to 2.2 per cent during April to December 2025, from 2.7 per cent in the corresponding period a year ago, reflecting lower domestic and international cotton prices and subdued export demand for textiles and wearing apparel. Inflation in household goods





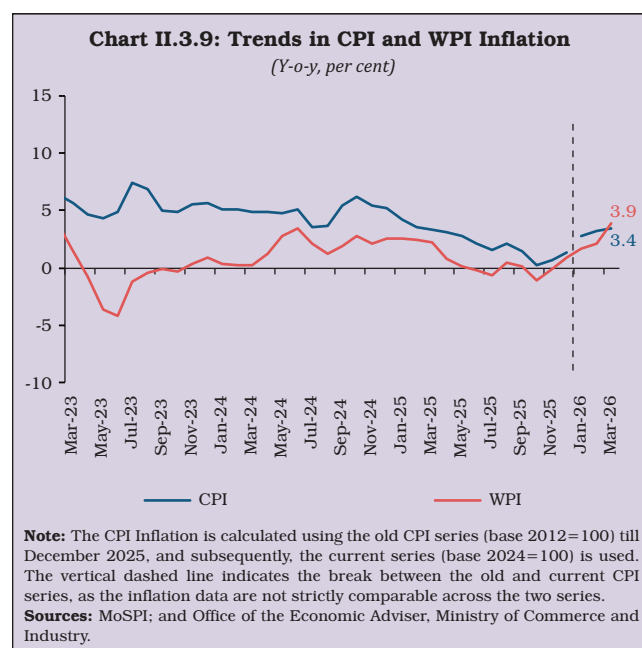
and services, health, and education remained broadly stable during 2025-26.

Other Indicators of Inflation

II.3.14 From a sectoral perspective, inflation measured by the CPI for industrial workers (CPI-IW) moderated to 3.1 per cent during 2025-26 from 3.4 per cent a year ago, driven by lower food inflation. The base of CPI-agricultural labourers/rural labourers (AL/RL) series was revised in July 2025, from 1986-87 to 2019=100. The revised CPI basket based on Household Consumption Expenditure Survey (2011-12) shows significant reduction in the weight of food and non-alcoholic beverages group and a sharp increase in the miscellaneous group, indicating changes in the consumption pattern of rural households²⁸.

II.3.15 Wholesale price index (WPI) inflation moderated to 0.7 per cent during 2025-26 from 2.3 per cent a year ago, majorly due to deflation in

primary articles and fuel and power. WPI primary articles (weight of 22.6 per cent) experienced a deflation of 1.1 per cent during 2025-26 from an inflation of 5.2 per cent a year ago, driven by favourable supply and weather conditions. Furthermore, fuel and power deflation deepened to 2.9 per cent during 2025-26 from 1.3 per cent a year ago, mirroring the easing of global energy prices. Inflation in manufactured products (weight of 64.2 per cent) increased to 2.3 per cent during 2025-26 from 1.7 per cent a year ago, led by manufacture of chemical, fabricated metal, paper and food products. Reflecting the overall decline in inflation, the gross domestic product (GDP) deflator-based inflation decreased to 0.9 per cent during April-December 2025 from 2.5 per cent in the corresponding period of the previous year²⁹. Although there have been periods of divergence between WPI and CPI in the past, the two have moved in tandem in the recent period (Chart II.3.9).



²⁸ The weight of food and non-alcoholic beverages group reduced to 57.9 per cent from 69.2 per cent earlier in the CPI-AL series. Their weight in CPI-RL series was reduced to 56.6 per cent from 66.8 per cent. In the new base 2019=100, the average inflation of CPI-AL and RL series during May 2025 to March 2026 stands at 1.0 per cent and 1.1 per cent, respectively.

²⁹ GDP deflator-based inflation estimates are based on GDP data 2022-23 series.

II.3.16 Minimum support prices (MSPs) in 2025-26 were increased in the range of 1.0-13.9 per cent for the *kharif* crops and 4.0-10.1 per cent for the *rabi* crops. *Ragi* witnessed the maximum MSP increase among the *kharif* crops while safflower recorded the highest increase among the *rabi* crops.

Conclusion

II.3.17 Headline inflation remained benign during 2025-26 on account of robust foodgrains production, softened global commodity prices — particularly food and energy — and supply management measures undertaken by the government. Towards the end of the financial year, some price pressures started emerging due to outbreak of West Asia conflict. Looking ahead, the challenges on account of uncertainties emanating from prolonged geopolitical conflicts, rising energy prices, input costs, currency fluctuations, evolving trade policies and weather conditions — especially possibility of *El Niño* and below normal monsoon — warrant continuous vigil and careful monitoring of the evolving dynamics.

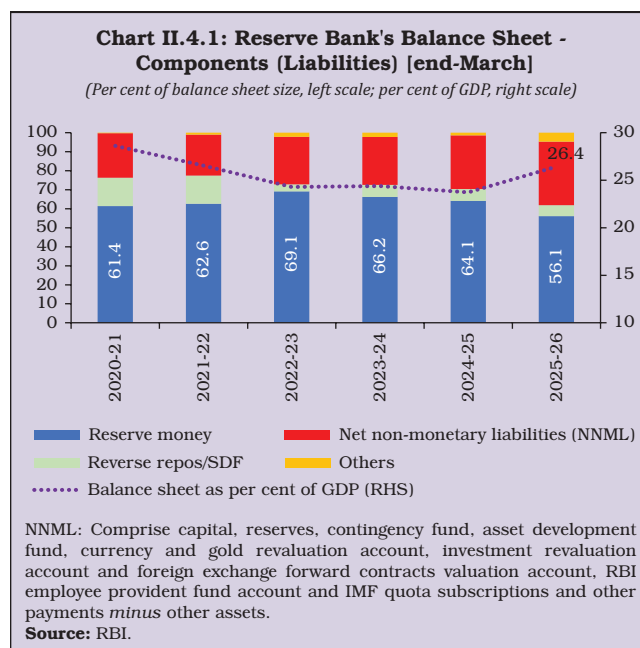
II.4 MONEY AND CREDIT³⁰

II.4.1 The Reserve Bank's balance sheet expanded during the year, primarily driven by revaluation gains arising from elevated gold prices and rupee depreciation. Currency in circulation (CiC) grew in double digits, contributing to higher growth in reserve money (RM) adjusted for the first-round impact of changes in the cash reserve ratio (CRR)³¹. Bank credit growth remained

subdued in the first half amidst increased reliance on non-bank channels for financing commercial sector. As the year progressed, credit growth gained significant momentum across sectors, outpacing deposit growth during H2:2025-26.

Reserve Money

II.4.2 Reserve money represents the stock of monetary liabilities in the central bank's balance sheet (Chart II.4.1). Risk buffers and revaluation accounts [forming the bulk of net non-monetary liabilities (NNML)], along with surplus liquidity placed by banks with the Reserve Bank under the reverse repos/standing deposit facility (SDF) are the other major components of the balance sheet. As at end-March 2026, the Reserve Bank's balance sheet size stood at 26.4 per cent of GDP³² (23.7 per cent a year ago).



³⁰ With effect from December 15, 2025, definition of last reporting fortnight has been changed to the last day of the month under the Banking Laws (Amendment) Act, 2025. Accordingly, in this Section, growth and other ratios from December 2025 onwards are based on end-of-month data for the current year while data for the corresponding month of the previous year pertain to the last Friday/last reporting fortnight (as per old definition) as the case may be.

³¹ CRR was reduced by 100 basis points (bps) to 3.0 per cent of net demand and time liabilities (NDTL) in a staggered manner during the year. The reduction was carried out in four equal tranches of 25 bps each with effect from the fortnights beginning September 6, October 4, November 1 and November 29, 2025.

³² GDP figures from 2022-23 onwards are based on the new series (2022-23 base year).

II.4.3 Adjusted for the first-round impact of change in CRR, the RM³³ growth accelerated to 10.8 per cent in 2025-26 from 5.8 per cent a year ago (Chart II.4.2 and Appendix Table 4). CiC - the major constituent of RM with a share of 81.4 per cent - expanded at 11.4 per cent during 2025-26 from 5.8 per cent a year ago, driven by higher cash withdrawal resulting from welfare measures taken by several state governments (*viz.*, compensation for crop damage and direct benefit transfers), higher consumption-driven cash withdrawals after recent GST and income tax rate cuts alongside increased cash demand amidst easing interest rates and rising prices of precious metals. Growth in bankers' deposits with the Reserve Bank (15.8 per cent share in RM), *i.e.*, balances maintained by banks to meet their CRR requirements and

settlement obligations, declined by 18.2 per cent during the year, reflecting the reduction in CRR by 100 bps.

II.4.4 The currency-GDP ratio increased marginally alongside rising usage of digital payments. Retail digital payments grew by 15.1 per cent in value terms and 26.9 per cent in volume terms during 2025-26 (Chart II.4.3).

II.4.5 On the sources side (assets), RM comprises net domestic assets (NDA)³⁴ and net foreign assets (NFA)³⁵ of the Reserve Bank. During 2025-26, NFA expanded by ₹8.2 lakh crore, driven by expansion in both FCA and gold. Although net sales to authorised dealers were higher than a year ago, FCA expanded on account of revaluation gains. The share of gold in NFA increased to 17.2 per cent as at end-March

Chart II.4.2: RM - Components (Liabilities)
(Growth, per cent)

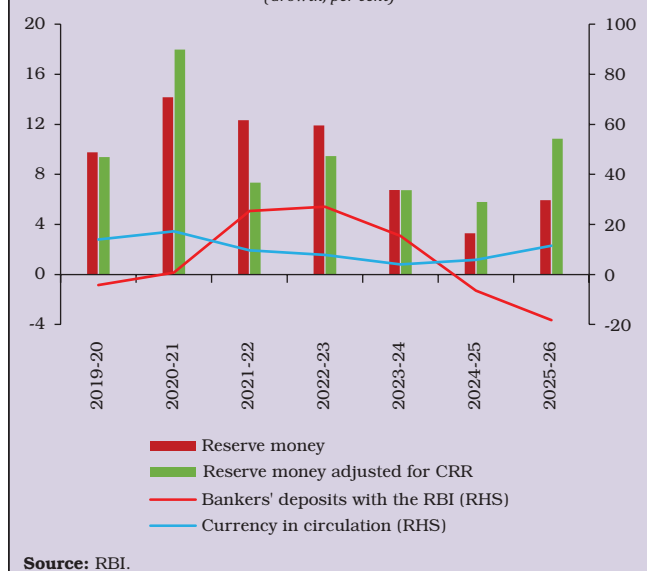
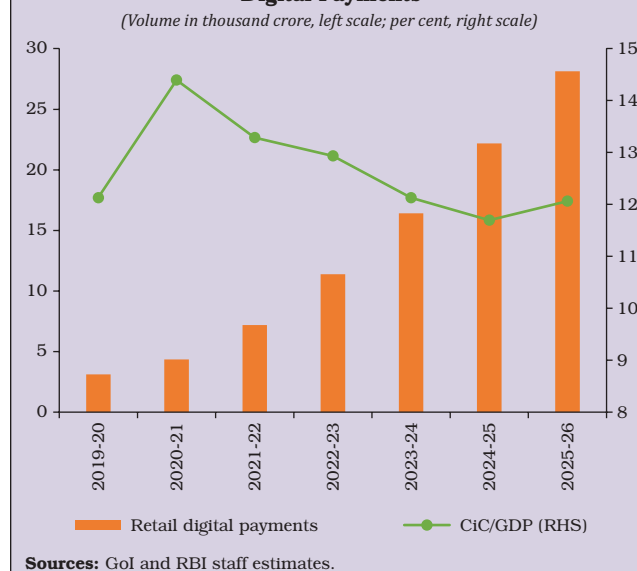


Chart II.4.3: Currency in Circulation and Digital Payments
(Volume in thousand crore, left scale; per cent, right scale)



³³ Comprises currency in circulation, bankers' deposits with the Reserve Bank and 'other' deposits with the Reserve Bank, on the liabilities side.

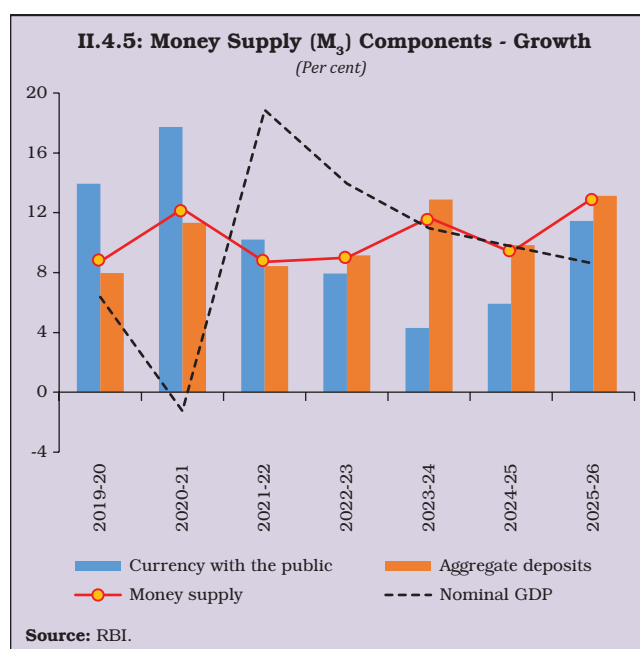
³⁴ Comprises net Reserve Bank credit to banks, government and commercial sector (mainly primary dealers).

³⁵ Consists of gold and foreign currency assets (FCA). FCA includes special drawing rights (SDRs) transferred from the Government of India (GoI). The remaining SDR holdings with the GoI and reserve tranche position (RTP) in the IMF, which represents India's quota contribution to the IMF in foreign currency, are not a part of the Reserve Bank's balance sheet.

2026 from 12.0 per cent a year ago, mainly due to revaluation gains from increase in gold prices. The Reserve Bank's net credit to the government expanded during the year owing to the liquidity injection through purchase of G-secs *via* open market operations (Chart II.4.4).

Money Supply

II.4.6 Money supply - in terms of broad money (M_3) - mainly consists of currency with the public (CwP) and aggregate deposits (AD) of banks on the components side (liabilities). M_3 recorded a growth of 13.0 per cent as on March 31, 2026 as compared with 9.4 per cent a year ago (Chart II.4.5). On the components side, expansion in M_3 was driven by AD, its largest constituent (86.6 per cent share) with sustained growth in time deposits (10.6 per cent *vis-à-vis* 9.8 per cent a year ago), notwithstanding considerable



moderation in interest rates. Demand deposits remained volatile, largely mirroring the variations in currency with the public, which grew by 11.4

Chart II.4.4: Reserve Money - Sources (Assets)

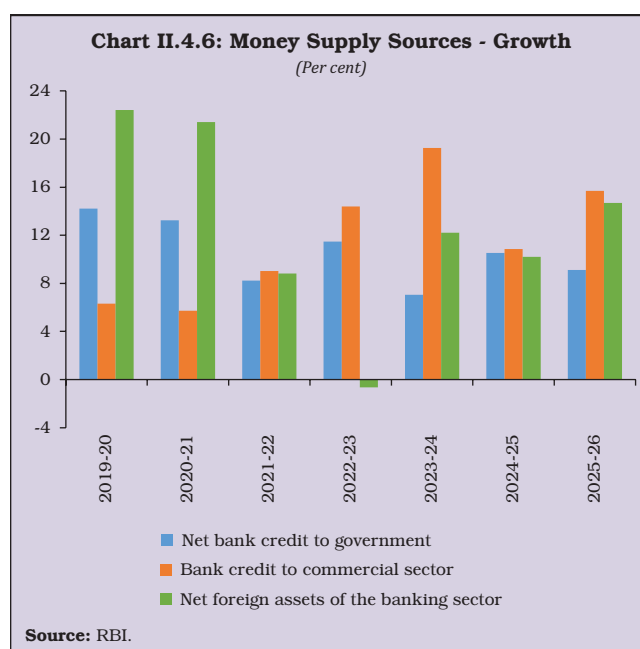


per cent in 2025-26 *vis-à-vis* 5.9 per cent in the previous year.

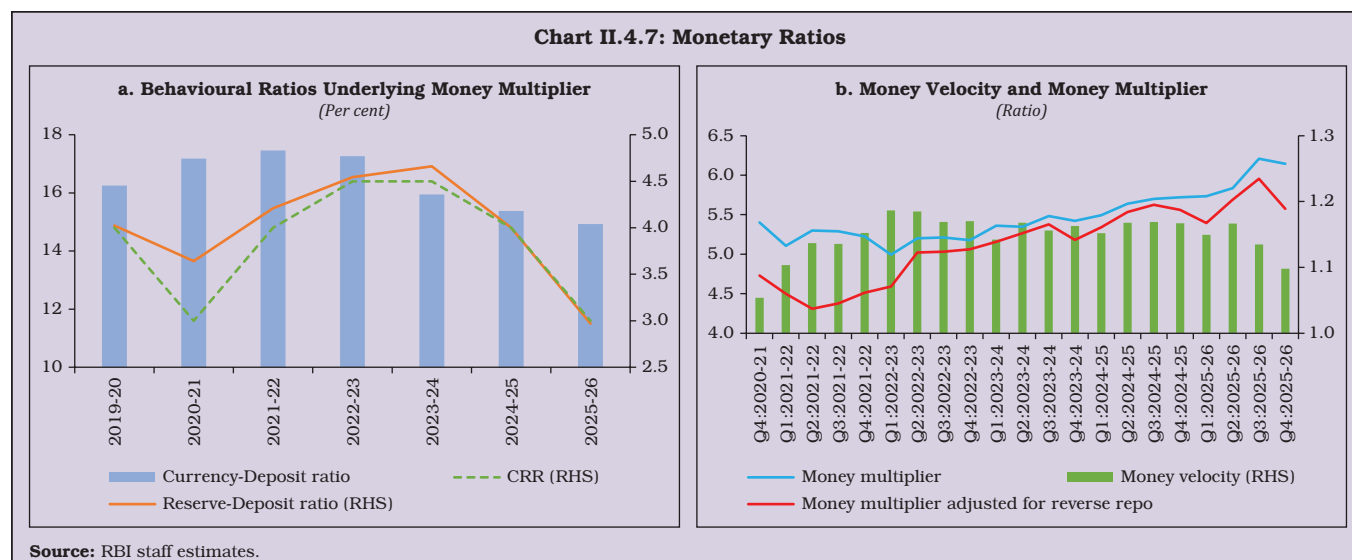
II.4.7 On the sources side (assets), expansion in M_3 was mainly driven by bank credit to the commercial sector (the largest constituent of M_3), which grew by 15.7 per cent in 2025-26 as compared with 10.8 per cent during the previous year (Chart II.4.6). Net bank credit to government increased by 9.1 per cent in 2025-26 (10.5 per cent a year ago), owing to purchases of G-secs by the Reserve Bank. Accordingly, excess holdings of statutory liquidity ratio (SLR) securities³⁶ of scheduled commercial banks (SCBs) declined to 8.2 per cent of NDTL as on March 31, 2026 (10.3 per cent a year ago). The net foreign assets of the banking sector increased, mirroring the expansion in NFA of the Reserve Bank's balance sheet during the year.

Key Monetary Ratios

II.4.8 Transaction velocity of money, *i.e.*, the ratio of nominal GDP to M_3 , declined during 2025-26 with greater financial deepening and monetisation

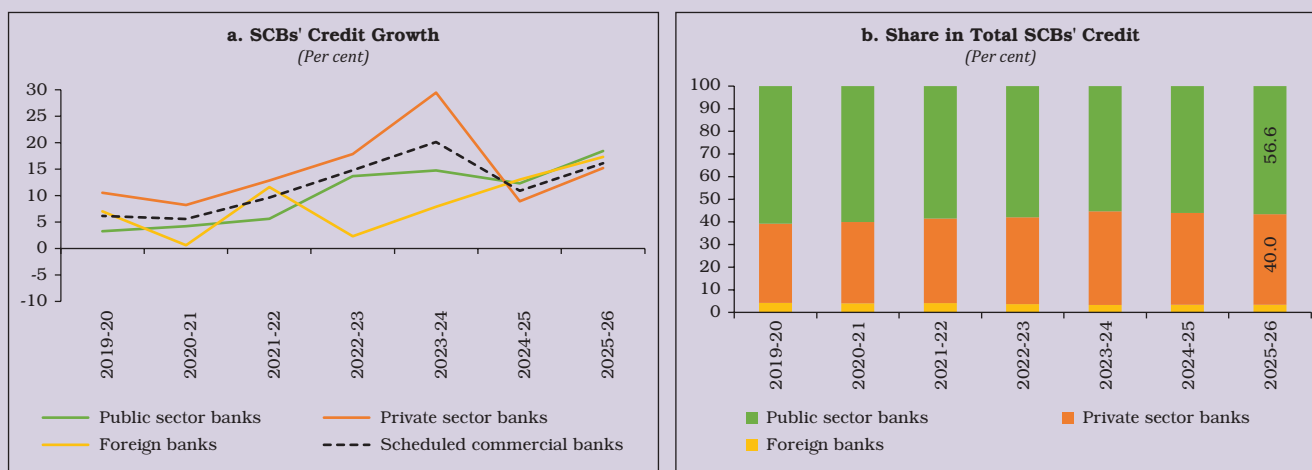


of the economy. Currency-deposit ratio moderated further from 15.4 per cent as on March 21, 2025 to 14.9 per cent as on March 31, 2026, reflecting, *inter alia*, an increasing shift in public preference towards digital modes of payments. The reserve-deposit ratio declined during the year due to reduction in CRR (Chart II.4.7a). The combined



³⁶ Excess holdings of SLR securities provide collateral buffers to banks for availing funds under the liquidity adjustment facility (LAF) and are also a component of the liquidity coverage ratio (LCR).

Chart II.4.8: Bank Group-wise Credit



Source: RBI.

impact of moderation in both currency-deposit ratio and reserve-deposit ratio resulted in an improvement in the money multiplier to 6.1 as on March 31, 2026 from 5.7 a year ago (Chart II.4.7b).

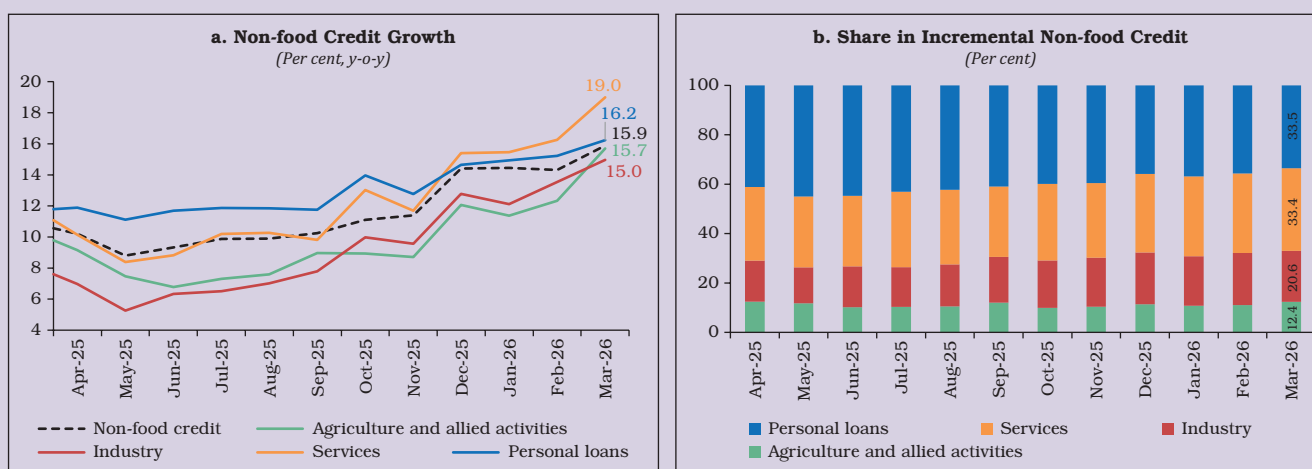
Credit

II.4.9 Double digit growth in bank credit was sustained during 2025-26, led by services and retail sectors (Chart II.4.8a). Public sector banks

(PSBs) registered higher credit growth than that of private sector banks (PVBs) for the second consecutive year resulting in rise in PSBs' share in total credit (Chart II.4.8b).

II.4.10 Key sectors witnessed an uptick in credit growth with overall non-food credit³⁷ growth at 15.9 per cent as at end-March 2026 (Chart II.4.9). Industrial credit continued to expand at

Chart II.4.9: Uptick in SCBs' Non-food Credit Growth



Source: RBI.

³⁷ Non-food credit data are based on fortnightly Section 42 return and covers all SCBs. Sectoral non-food credit data are based on sector-wise and industry-wise bank credit (SIBC) return, which covers 41 select banks accounting for about 95 per cent of total non-food credit extended by all SCBs. Please refer to footnote 1 of this Section.

a robust pace since May 2025, on the back of sturdier credit growth in micro, small and medium enterprises (MSMEs). Industrial sub-segments such as 'infrastructure', 'all engineering', 'basic metal and metal product', 'chemical and chemical products', and 'petroleum, coal products and nuclear fuels' marked resilient y-o-y growth. Services sector credit sustained robust double-digit growth, largely supported by healthy credit

growth in 'trade', 'commercial real estate', and sharp resumption of credit to NBFCs³⁸ since October 2025. Personal loans continued to remain the major driver of overall non-food credit growth. Housing loans, which account for nearly half of the personal loans, recorded healthy growth and segments such as vehicle loans and loans against gold jewellery showed buoyant growth (Table II.4.1).

Table II.4.1: Sectoral Credit Growth - SCBs

(Per cent, y-o-y)

Sector	2024-25 [#]	2025-26											
		Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar
1	2	3	4	5	6	7	8	9	10	11	12	13	14
Non-food Credit	10.9	10.2	8.8	9.3	9.9	9.9	10.2	11.1	11.4	14.4	14.4	14.3	15.9
I. Agriculture & Allied Activities	10.4	9.2	7.5	6.8	7.3	7.6	9.0	8.9	8.7	12.1	11.4	12.3	15.7
II. Industry (Micro & Small, Medium and Large)	8.2	7.0	5.3	6.3	6.5	7.0	7.8	10.0	9.6	12.8	12.1	13.5	15.0
II.1. Micro & Small	8.9	9.2	13.7	19.2	20.9	20.8	22.0	25.9	24.6	30.4	31.2	30.4	33.1
II.2. Medium	18.5	18.1	16.9	13.2	15.0	13.3	14.5	17.6	15.7	20.4	22.3	21.0	21.7
II.3. Large	6.9	5.0	1.5	2.0	1.6	2.4	3.0	4.6	4.6	6.9	5.5	7.8	8.9
II.3.1 Infrastructure	2.8	0.3	-1.3	0.8	3.4	3.5	5.0	4.6	4.3	7.2	6.4	7.9	9.5
II.3.2 Basic Metal & Metal Product	12.8	14.3	10.6	11.0	9.5	8.9	9.1	13.1	11.8	14.2	13.8	15.2	19.4
II.3.3 Chemicals & Chemical Products	7.4	6.0	4.7	6.3	5.5	6.7	8.3	12.2	11.1	14.8	15.1	19.1	14.9
II.3.4 Textiles	8.3	8.5	6.8	8.6	6.0	6.4	7.1	9.1	8.1	11.8	10.0	8.2	8.9
II.3.5 All Engineering	22.0	21.7	20.4	22.1	23.0	19.8	22.4	25.1	22.6	30.4	35.9	36.0	32.2
II.3.6 Food Processing	5.1	6.5	7.8	8.1	5.2	6.1	7.7	10.2	6.5	11.7	9.6	10.2	14.0
III. Services	12.0	10.1	8.4	8.8	10.2	10.3	9.8	13.0	11.7	15.4	15.5	16.3	19.0
III.1. Trade	15.6	13.9	10.4	10.7	12.8	12.3	11.7	13.8	14.2	17.5	16.1	14.4	16.2
III.2. Commercial Real Estate	13.7	17.3	14.8	14.9	15.7	13.2	15.5	14.1	12.6	15.4	16.2	17.4	19.9
III.3. NBFCs	7.4	4.5	1.0	3.1	3.0	3.7	3.9	10.9	9.5	15.1	17.8	20.9	26.3
IV. Personal Loans	11.7	11.9	11.1	11.7	11.9	11.9	11.8	14.0	12.8	14.6	14.9	15.2	16.2
IV.1. Consumer Durables	-1.0	-1.0	-3.7	-2.8	-5.8	-5.8	-6.1	1.0	-5.9	-5.1	-4.0	-9.8	-5.3
IV.2. Housing	10.7	9.8	9.0	9.6	9.6	9.7	10.1	11.0	9.9	11.1	11.1	11.0	11.5
IV.3. Credit Card Outstanding	10.6	10.6	8.5	7.2	5.6	4.4	3.7	7.7	2.4	1.0	1.5	1.7	3.5
IV.4. Vehicle Loans	8.6	8.8	8.7	9.2	8.9	8.7	7.3	12.5	12.4	16.7	17.1	17.1	18.6
IV.5. Loans against Gold Jewellery	121.1	138.0	132.7	140.9	136.4	130.2	125.6	128.5	125.3	126.1	128.8	127.9	123.1
IV.6. Other Personal Loans	7.5	8.5	7.2	7.1	7.6	7.6	7.4	9.9	8.9	11.5	11.6	12.1	13.0

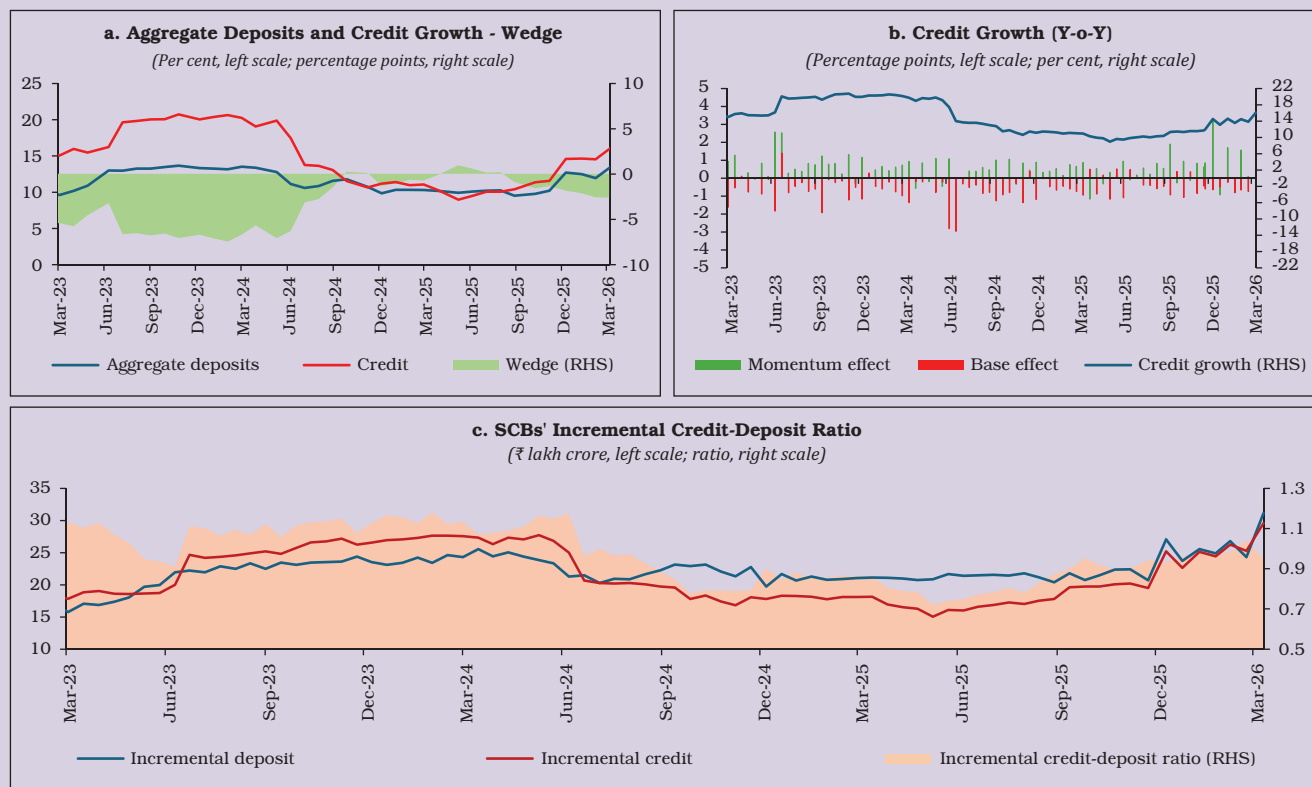
[#]: March 2025 over March 2024.

Note: Data are provisional.

Source: RBI.

³⁸ Risk weight for bank credit to NBFCs was increased by additional 25 percentage points in November 2023, which was later restored to the earlier position with effect from April 2025.

Chart II.4.10: SCBs' Deposits and Credit



Source: RBI.

II.4.11 SCBs' deposit growth broadly remained below that of credit growth during 2025-26. Although deposit growth showed some improvement in recent months, the wedge between deposit and credit growth persisted (Chart II.4.10). Consequently, the incremental credit-deposit ratio remained elevated. To

bridge the funding gap, banks took recourse to sizeable issuances of certificates of deposit³⁹. In this context of sustained funding pressures, the evolving dynamics between bank deposits and alternate savings instruments such as mutual funds have been examined (Box II.4.1).

Box II.4.1

Bank Time Deposits and Mutual Fund Flows Dynamics — A Comparative Analysis

Time deposits with banks and mutual funds serve as important channels for mobilising domestic savings for investment to support economic activity. While time deposits with banks are regarded as safe and capital-protected instruments, the debt mutual funds provide market-linked returns from fixed-income securities and the

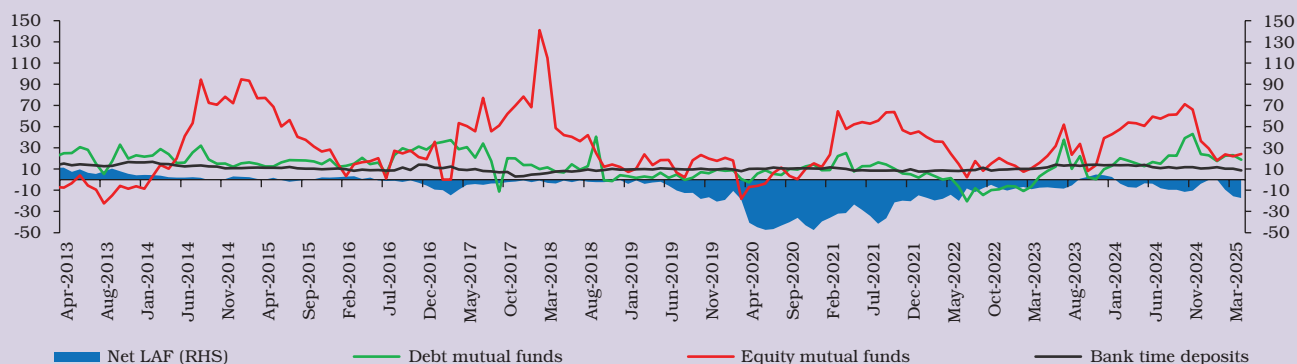
equity mutual funds may offer long-term capital gains with higher market risk. Recent evidence suggests that mutual funds have emerged as a major alternative investment avenue in India (Gupta *et al.*, 2025). For instance, during 2020-21 to 2024-25, on an average, outstanding bank time deposits grew by 10.7 per cent, while the assets under

(Contd...)

³⁹ See Section 5 of Chapter II for details.

Chart 1: Growth in Bank Time Deposits and Investments in Mutual Funds

(Per cent, left scale; ₹ lakh crore, right scale)



LAF: Liquidity Adjustment Facility.

Sources: RBI, SEBI, CEIC and RBI staff calculations.

management (AUM) of debt mutual funds increased by 5.3 per cent and the AUM of equity mutual funds expanded by 32.4 per cent (Chart 1).

Against this backdrop, the question arises whether bank time deposits and mutual funds (debt and equity) instruments act as complements (substitutes) and what role the state of liquidity conditions plays in determining investor preferences. This question is examined for the sample period 2013-14 to 2024-25 using monthly data, applying empirical methodology akin to Im *et al.* (2025). Growth in debt and equity mutual funds AUM is explained by growth in outstanding bank time deposits, controlling for relative returns, and lags for growth in gold prices, BSE Sensex returns, 3-month treasury yields, India VIX (*i.e.*, volatility index), growth in outstanding small savings, and growth in index of industrial production.

The analysis indicates that bank time deposits and debt mutual funds act as complementary avenues in

both surplus and deficit liquidity regimes. One plausible explanation for this complementarity is that within India's bank-centric and evolving debt market, bank time deposits and debt mutual funds predominantly serve distinct investor segments. This structural segmentation minimises direct competition between the two instruments, fostering concurrent allocation rather than substitution. The analysis finds no statistically significant relationship between bank time deposits and equity mutual fund flows.

References:

1. Gupta, M., Kumar, S., Borad, A., Seet, S. K. & Kedia, P. (2025), 'Equity Mutual Funds: Transforming India's Savings Landscape', *RBI Monthly Bulletin*, August, 79(8), 81-94.
2. Im, J., Li, Y., & Wang, A. (2025), 'What Drives the Substitution between Bank Deposits and Money Market Funds?', *FEDS Notes (November)*, Board of Governors of the Federal Reserve System.

II.4.12 Against the backdrop of deposit growth lagging credit expansion, the total flow of financial resources to the commercial sector increased to ₹47.0 lakh crore during 2025-26 from ₹36.2 lakh crore a year ago, supported by credit from both banks and non-bank sources (Appendix Table 5). The increase in flow from non-bank sources was mainly driven by corporate bond issuances and foreign direct investment to India. As on March 31, 2026, total outstanding credit to the commercial

sector grew by 15.0 per cent (y-o-y), with non-bank sources registering a growth of 13.3 per cent (y-o-y).

Conclusion

II.4.13 During the year, the currency-GDP ratio increased with currency demand remaining at elevated levels. Amidst persistent wedge between deposit and credit growth, bank credit expanded in double digits and was largely broad-based, led by services and retail sectors.

II.5 FINANCIAL MARKETS

II.5.1 Global financial markets remained volatile in 2025-26 amidst concerns emanating from surging fiscal deficit, debt repayment, varied growth-inflation outcomes and trade tariff impositions. Notwithstanding global headwinds, Indian financial markets demonstrated resilience, with money market rates evolving in line with the policy repo rate and prevailing liquidity conditions. After declining in the first quarter, sovereign bond yields hardened amidst oversupply of state government securities, delay in signing of India-US trade deal, and surge in crude oil prices due to tensions in the Middle East. Corporate bond yields exhibited a hardening bias, accompanied by a broadening of spreads, amidst divergent corporate earnings performance. Indian equity markets remained volatile during the year, navigating global uncertainties while buoyed by stronger-than-expected gross domestic product (GDP) growth and supportive fiscal and monetary policies. The Indian Rupee (INR) traded with a depreciating bias amidst escalating geopolitical tensions and portfolio investment outflows.

Money Market

II.5.2 During 2025-26, money market rates moved in tandem with the policy repo rate and the evolving liquidity conditions. The weighted average call rate (WACR) moved in line with the repo rate, and its average spread over the repo rate was (-) 7 bps during 2025-26 as against 6 bps during 2024-25. Volatility in the WACR measured by coefficient of variation⁴⁰ increased to 4.8 per cent in 2025-26 from 2.2 per cent in the previous year.

II.5.3 During April to early July 2025, due to large surplus liquidity, the WACR hovered around the standing deposit facility (SDF) rate, floor of the policy corridor. Since mid-July 2025, following Reserve Bank's absorption of liquidity through variable rate reverse repo (VRRR) auctions, the WACR increased and traded closer to the policy repo rate. However, the WACR moved near marginal standing facility (MSF) rate, ceiling of the policy corridor during mid-December 2025 to January 2026 amidst moderation in liquidity surplus. The WACR eased in February, while remaining elevated at end-March following the seasonal effect. The collateralised market segments – triparty repo and market repo – followed the WACR movements (Chart II.5.1a).

II.5.4 For the longer tenor money market instruments, following the overnight trends, yields softened for 3-month treasury bills (T-bills), certificates of deposit (CDs) and commercial papers (CPs) during H1:2025-26. However, in H2, CD rates remained elevated owing to higher issuances by banks to meet funding requirements in the face of higher offtake in credit. CP rates also followed an upward trend in H2 (Chart II.5.1b).

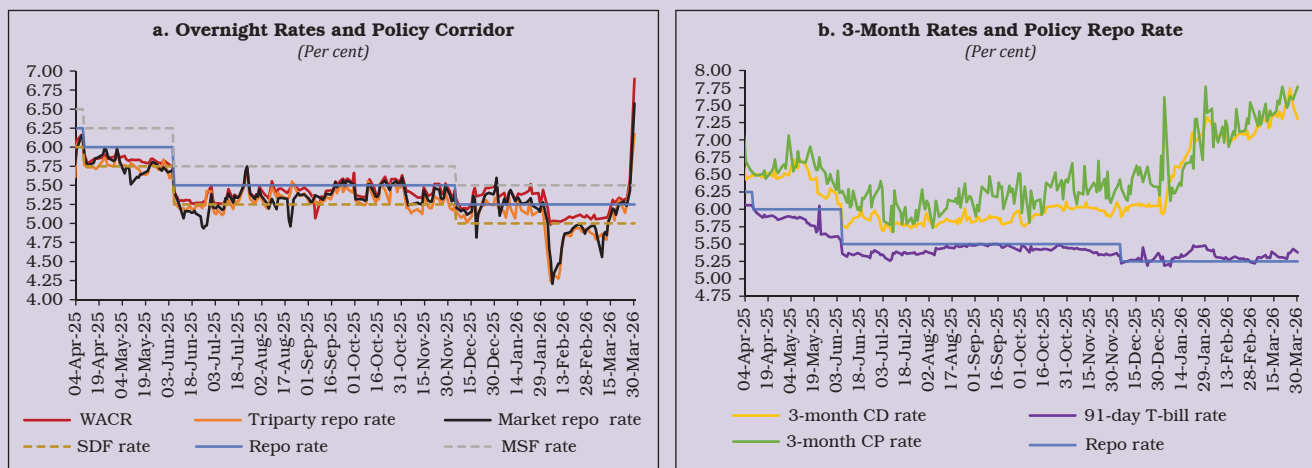
II.5.5 The average daily volume in the money market⁴¹ increased by 16 per cent to ₹6.4 lakh crore during 2025-26 from ₹5.5 lakh crore in the previous year. The quarterly volumes in the call money market mostly depicted an increasing trend since Q2, which could partly be attributed to the extension of market timings.⁴²

II.5.6 Money market continued to be dominated by the collateralised segments in 2025-26, with

⁴⁰ Coefficient of variation is measured as a ratio of standard deviation to the mean.

⁴¹ Call money, triparty repo and market repo of both overnight and term segments, excluding Saturdays.

⁴² Effective July 1 and August 1, 2025, the trading hours for the call money market, and triparty repo and market repo were extended to 7 pm and 4 pm, respectively.

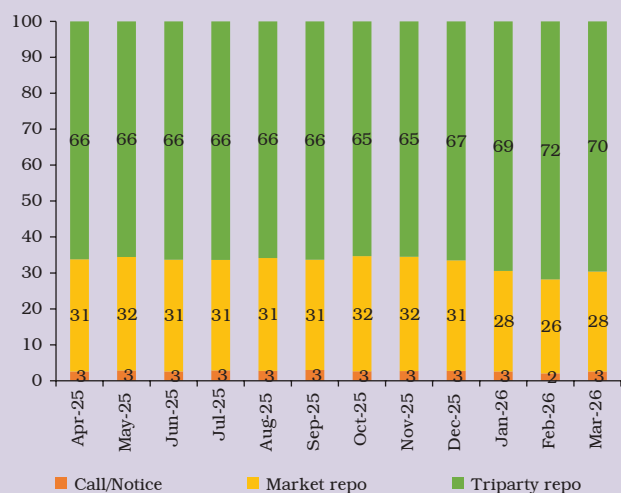
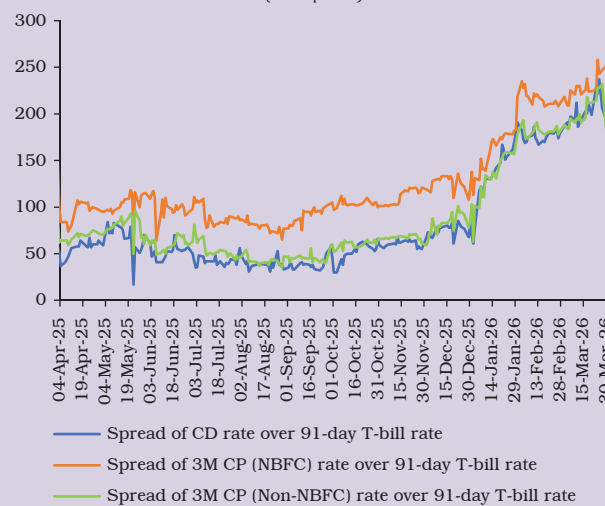
Chart II.5.1: Money Market Rates Tracked Policy Repo Rate

the average share of triparty repo and market repo at around 67 per cent and 30 per cent, respectively. The share of call money market increased marginally to 3 per cent during the year (Chart II.5.2).

II.5.7 In the longer-term segments, the average daily spread of CD rates and CP rates over T-bill rates trended downwards until September 2025, while they increased afterwards (Chart II.5.3). In

the primary market, the CD issuances increased to ₹5.3 lakh crore in Q4:2025-26 from ₹2.3 lakh crore in Q1. Total CD issuances aggregated ₹13.5 lakh crore in 2025-26 as against total issuances of ₹11.9 lakh crore in the previous year.

II.5.8 As the liquidity remained largely in surplus and interest rates favourable, new issuances of CPs depicted a steady trend during H1:2025-26. However, CP issuances declined in H2:2025-

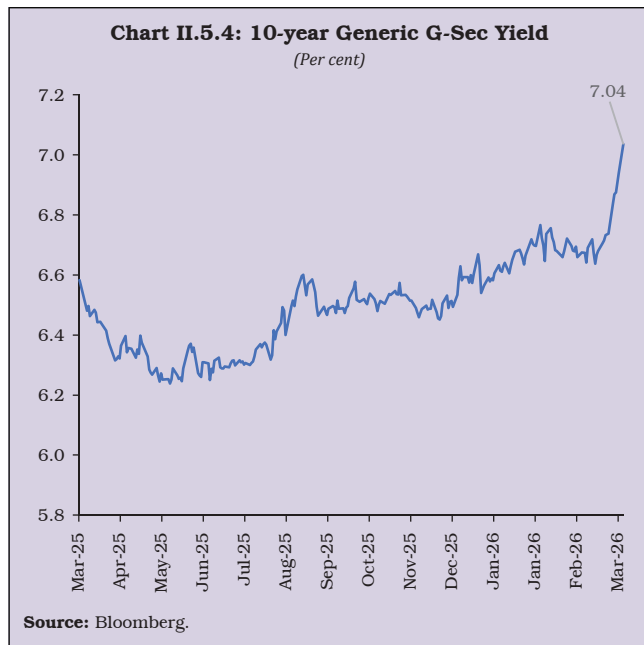
Chart II.5.2: Collateralised Segments Dominate Money Market
(Per cent)**Chart II.5.3: CP and CD Rate Spreads Increased in H2:2025-26**
(Basis points)

26, as higher rates led to a shift towards bank borrowings. Total issuances of CPs increased to ₹16.9 lakh crore during 2025-26 from ₹15.7 lakh crore in the previous year.

Government Securities Market

II.5.9 During Q1:2025-26, domestic G-sec yield curve steepened as short and medium-term yields traded with a softening bias while long-term yields traded range bound amid monetary policy easing and liquidity infusion measures undertaken by the Reserve Bank. Open market operation (OMO) purchase auctions for an aggregate amount of ₹2.39 lakh crore were conducted during the quarter. However, yields hardened after the monetary policy stance was changed to 'neutral' in June 2025, as further rate cut expectations faded (Chart II.5.4).

II.5.10 G-sec yields hardened during Q2:2025-26 after a better-than-expected Q1:2025-26



GDP data amid fiscal concerns emanating from the implementation of higher US tariffs and GST rationalisation. However, the upside in yields was capped as oversupply related concerns ebbed after clarity emerged that revenue loss on account of goods and services tax (GST) rationalisation would be limited and government's market borrowings for H2:2025-26 remained largely on expected lines.

II.5.11 During Q3:2025-26, yields exhibited two-way movements as better-than-expected Q2:2025-26 GDP data and reduced expectations of further easing post 25-bps rate cut in the December 2025 monetary policy committee meeting⁴³ provided an upward bias. However, the Reserve Bank's liquidity injection measures helped ameliorate this upward pressure on yields. OMO purchases for an aggregate amount of ₹1.81 lakh crore were conducted during the quarter, of which ₹1.50 lakh crore were through auctions.

II.5.12 During Q4:2025-26, yields traded with a hardening bias amidst higher-than-expected gross market borrowings announced in the Union Budget 2026-27 and a sharp increase in crude oil prices following the escalation of the Middle East conflict. On the final trading session of 2025-26, the 10-year generic G-sec yield crossed the 7 per cent mark for the first time since July 2024. OMO purchases for an aggregate amount of ₹4.57 lakh crore were conducted during the quarter, of which ₹3.5 lakh crore were through auctions.

II.5.13 With the introduction of the fully accessible route (FAR)⁴⁴ with effect from April 1, 2020, foreign

⁴³ Details relating to monetary policy operations are covered in Chapter III of this Report.

⁴⁴ Under FAR, certain categories of central government securities are open fully for non-resident investors without any restrictions, apart from being available to domestic investors as well.

Table II.5.1: FPI Investment in Debt Instruments (End-March)

(Amount in ₹ thousand crore)

Route/ Channel of Investment	2024			2025			2026		
	Limit	FPI Holding*	Utilisation (per cent of Limit)	Limit	FPI Holding*	Utilisation (per cent of Limit)	Limit	FPI Holding*	Utilisation (per cent of Limit)
1	2	3	4	5	6	7	8	9	10
General Route [^]	1,172.6	187.1	16.0	1,295.3	187.2	14.5	1,470.7	186.6	12.7
VRR [^]	250.0	175.4	70.1	250.0	205.2	82.1	250.0	188.8	75.5
FAR [#]	3,866.2	173.8	4.5	4,337.0	306.2	7.1	4,751.2	313.3	6.6

[^]: Includes central government securities (G-secs), state government securities (SGSs) and corporate bonds.[#]: Available only for the specified securities included under the route.

*: For VRR, it indicates investment limit allotted to FPIs.

Sources: CCIL and NSDL.

portfolio investors (FPIs) have three channels of investment - the general route⁴⁵; the voluntary retention route (VRR); and fully accessible route (FAR) [Table II.5.1]. In aggregate, FPIs invested ₹16.1 thousand crore in debt instruments in 2025-26.

Corporate Bond Market

II.5.14 Although corporate bond yields declined during 2025-26, they exhibited a hardening bias (Table II.5.2).

II.5.15 The spread on AAA-rated 3-year corporate bond yields over G-sec yields of corresponding maturity inched up during 2025-26 amidst mixed corporate earnings results. The average daily

secondary market turnover in the corporate bond market increased to ₹7.1 thousand crore during 2025-26 from ₹6.2 thousand crore during the previous year (Chart II.5.5).

II.5.16 Primary issuances of listed corporate bonds on domestic stock exchanges declined to ₹9.1 lakh crore during 2025-26 from ₹9.9 lakh crore during the previous year, along with a moderation in mobilisation through overseas

Table II.5.2: Corporate Bond Yields*

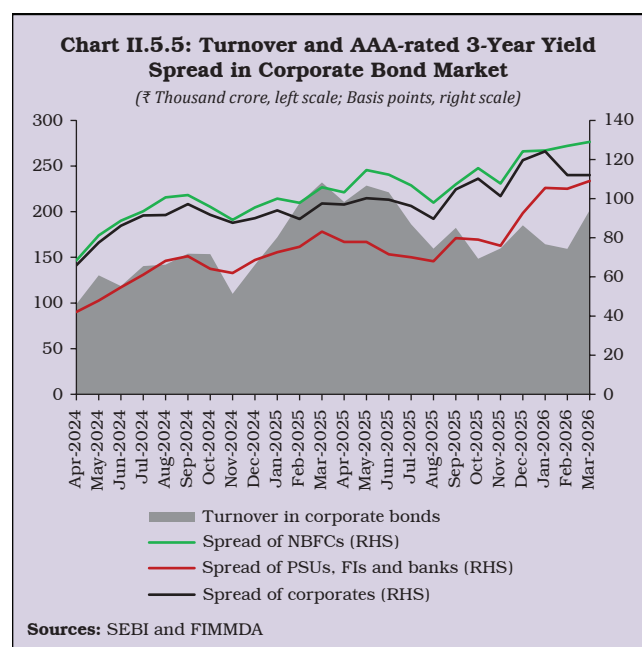
(Per cent)

Entity	March 2025	March 2026	Change (bps)
1	2	3	4 (=3-2)
(i) PSUs, FIs and Banks	7.48	7.33	-15
(ii) NBFCs	7.70	7.53	-17
(iii) Corporates	7.62	7.36	-26

*: AAA-rated 3-year bonds.

Note: Yields are computed as monthly averages.

Source: FIMMDA.

⁴⁵ Erstwhile medium-term framework (MTF).

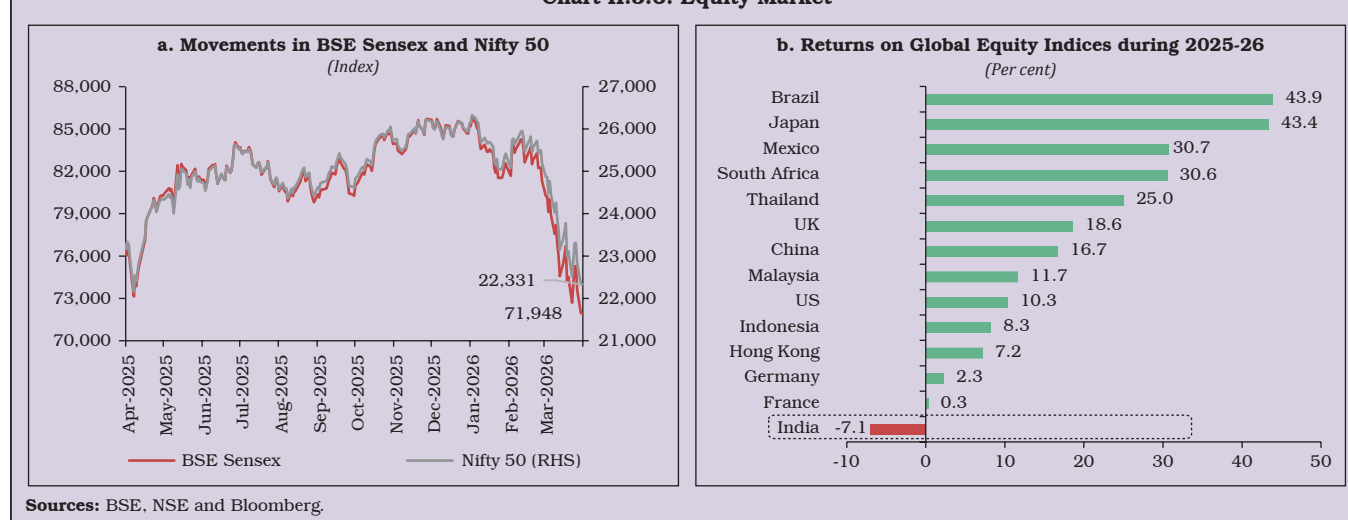
issuances. Private placements remained the preferred channel, accounting for 99 per cent of total resources mobilised through the domestic bond market. Investments by FPIs in corporate bonds increased during the year. However, the utilisation of the approved limits by FPIs decreased to 15.0 per cent as at end-March 2026 from 15.8 per cent a year ago on account of an increase in absolute limits.

Equity Market

II.5.17 In 2025-26, Indian equity market witnessed bi-directional movements. It increased in the first half of the year amidst supportive monetary and fiscal policy measures, while it declined in the second half as escalation in geopolitical tensions in the Middle East and artificial intelligence (AI) related concerns weighed on investor sentiment. Overall, the BSE Sensex declined by 7.1 per cent to close at 71,948 at end-March 2026 (Chart II.5.6). Resource mobilisation in the primary markets through public and rights issues, preferential allotments and qualified institutional placements (QIPs) remained strong.

II.5.18 In Q1:2025-26, Indian equity markets witnessed two-way movements driven by unfavourable factors such as tariff announcements by the US, escalation of India-Pakistan conflict and geopolitical tensions in the Middle East, while investor sentiment was bolstered by a record surplus transfer by the Reserve Bank to the Government of India and the front loading of monetary policy easing by the Reserve Bank in June, among others. In Q2, markets declined as negative cues from elevated tariff uncertainty and hike in H1B visa fees by the US outweighed improved investor sentiment surrounding India's sovereign rating upgrade by a major global credit rating agency, the announcement of GST reforms and the release of strong macroeconomic data. In Q3, markets gained amidst optimism surrounding corporate earnings results for Q2 and positive global cues from policy rate cut by the US Federal Reserve and increasing investments in technology including AI. Markets declined in Q4 as renewed tariff uncertainties, escalation in geopolitical tensions in the Middle East and persistent AI related concerns outweighed improved sentiment surrounding

Chart II.5.6: Equity Market



announcement of India-EU trade deal, and higher GDP growth projections for 2025-26 and Q1 and Q2 of 2026-27 in the monetary policy statements.

II.5.19 Overall, BSE 150 Midcap decreased marginally by 1.0 per cent while BSE 250 SmallCap decreased by 6.5 per cent in 2025-26. Performance of sectoral indices was mixed during this period (Chart II.5.7a). FPIs made net sales of ₹2.7 lakh crore in the domestic equity market during 2025-26 as against net sales of ₹2.6 lakh crore during the previous year. Domestic institutional investors (DIIs) made net purchases of ₹8.5 lakh crore in 2025-26 as against ₹6.1 lakh crore during the previous year (Chart II.5.7b).

Primary Market Resource Mobilisation

II.5.20 In the primary segment of the equity market, resource mobilisation through QIPs and preferential allotments stood at ₹2.2 lakh crore during 2025-26, same as the previous year. Resource mobilisation through initial public offers (IPOs), follow-on public offers (FPOs) and rights issues increased to ₹2.3 lakh crore during

2025-26 from ₹2.1 lakh crore during the previous year (Chart II.5.8a). FPIs were net purchasers in the primary market during the year. Average monthly contribution to mutual funds through the systematic investment plan (SIP) route increased to ₹29.1 thousand crore in 2025-26 from ₹24.1 thousand crore during the previous year (Chart II.5.8b).

Foreign Exchange Market

II.5.21 The INR traded with a depreciating bias during 2025-26 and closed lower by 9.9 per cent. During H1:2025-26, INR gained initially amidst softening in the US dollar index and suspension of reciprocal tariffs by the US, touching the year's high of ₹83.75 per USD on May 2, 2025. It, however, came under pressure later amidst flaring up of border tensions, tariff related concerns and FPI outflows in the equity segment. The INR closed H1 at ₹88.79 per USD, lower by 3.8 per cent (Chart II.5.9).

II.5.22 During H2:2025-26, after trading range bound initially, the INR came under pressure later amidst multiple headwinds including continued trade related uncertainties and widening

Chart II.5.7: Broader Markets and Institutional Flows

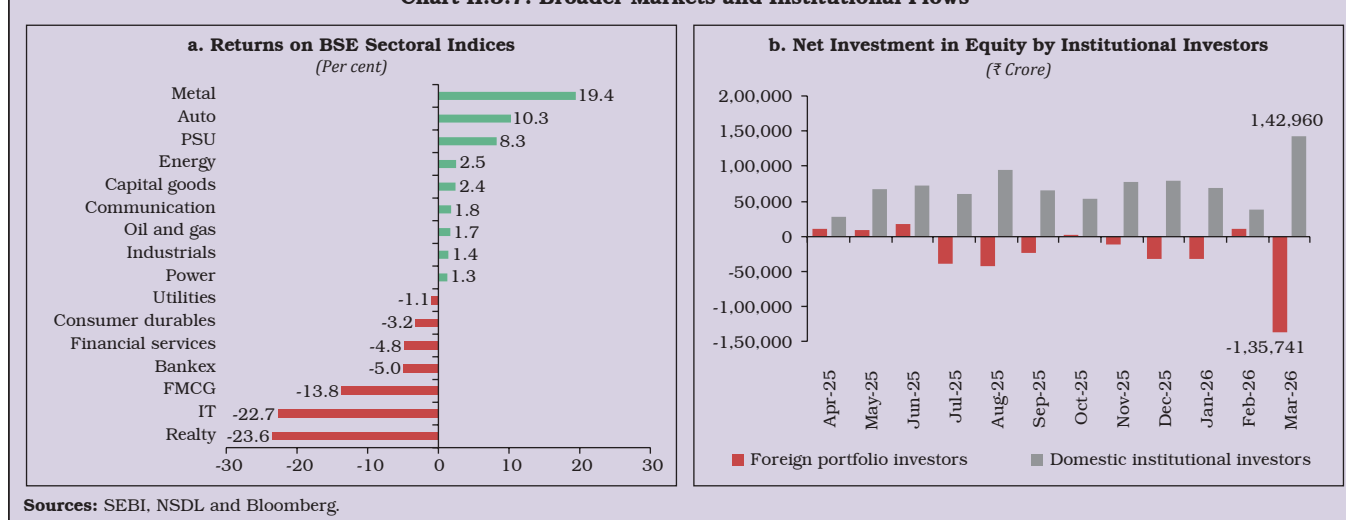
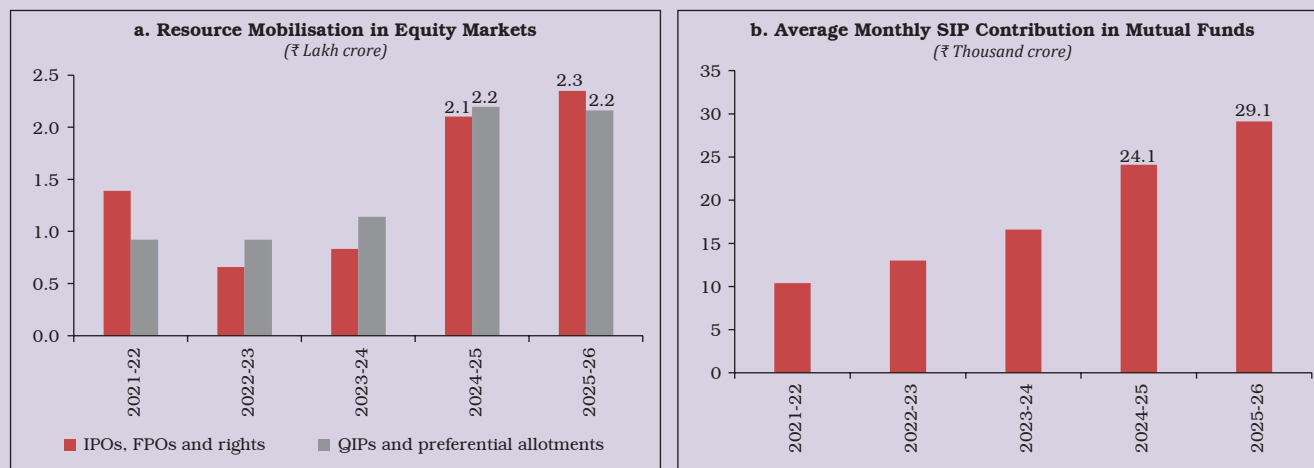


Chart II.5.8: Resource Mobilisation



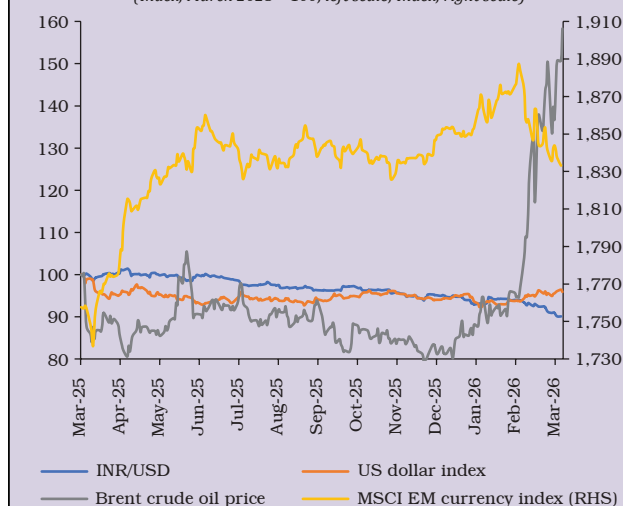
Sources: SEBI and AMFI.

merchandise trade deficit among others. INR pared some of its losses amid positive developments on the trade front during February. However, it witnessed a renewed bout of pressure in March amid worsening risk sentiments due to the outbreak of conflict in the Middle East and consequent surge in crude oil prices. FPI outflows and strengthening in the dollar index also weighed on the INR. For H2:2025-26, the INR closed lower by 6.4 per cent at ₹94.83 per USD.

II.5.23 During 2025-26, the forward premia traded range bound till November 2025 largely tracking interest rate differential. However, they rose during December 2025 and remained elevated thereafter amid escalation in geopolitical tensions. The 40-currency nominal effective exchange rate (NEER) and real effective exchange rate (REER) depreciated (y-o-y) by 6.9 per cent and 7.5 per cent, respectively, during 2025-26.

Conclusion

II.5.24 During 2025-26, Indian financial markets demonstrated resilience and orderly movements despite volatility in global financial markets. Overnight money market rates largely remained aligned with the policy repo rate and the evolving liquidity conditions. G-sec yields softened during Q1 but later hardened amid fiscal concerns, rising crude oil prices and lower expectations of further easing post-December 2025 rate cut. The INR witnessed depreciating bias in the latter half of the year due to trade related uncertainty and portfolio equity outflows. Indian equity markets are expected to be driven by evolving geopolitical developments, global financial market volatility and foreign portfolio investment flows.

Chart II.5.9: Movement in Rupee, US Dollar, Crude Oil Price and EM Currency Index
(Index, March 2025 = 100, left scale; Index, right scale)

Source: Bloomberg.

II.6 GOVERNMENT FINANCES

II.6.1 The Union Government reaffirmed its commitment to fiscal discipline by reducing the gross fiscal deficit (GFD)⁴⁶ to below 4.5 per cent of GDP in 2025-26 (RE), as announced in the Union Budget for 2021-22, and setting it at 4.3 per cent in 2026-27(BE). The Centre's debt-to-GDP ratio is budgeted to decline to 55.6 per cent in 2026-27 from 56.1 per cent in 2025-26 (RE).

Central Government Finances in 2025-26

II.6.2 The Central Government contained its GFD at 4.4 per cent of GDP in 2025-26 (RE), lower than 4.8 per cent in 2024-25. During 2025-26, the fiscal consolidation was attributable to higher-than-budgeted non-tax revenue and rationalisation of expenditure (Table II.6.1 and Chart II.6.1).

II.6.3 Revenue expenditure rose by 7.4 per cent in 2025-26 (RE) over 2024-25, primarily driven by elevated interest payments and major subsidies.

Table II.6.1: Central Government's Fiscal Performance

(Amount in ₹ lakh crore)

Item	2021-22	2022-23	2023-24	2024-25	2025-26 (RE)	2026-27 (BE)
1	2	3	4	5	6	7
I. Non-Debt Total Receipts	22.1 (9.4)	24.6 (9.1)	27.9 (9.3)	30.8 (9.3)	34.1 (9.5)	36.5 (9.3)
II. Gross Tax Revenue	27.1 (11.5)	30.5 (11.4)	34.7 (11.5)	38.0 (11.5)	40.8 (11.4)	44.0 (11.2)
(a) Direct Tax	14.1 (6.0)	16.6 (6.2)	19.6 (6.5)	22.2 (6.7)	24.2 (6.8)	27.0 (6.9)
(b) Indirect Tax	13.0 (5.5)	13.9 (5.2)	15.1 (5.0)	15.7 (4.8)	16.6 (4.6)	17.1 (4.3)
III. Net Tax Revenue	18.0 (7.6)	21.0 (7.8)	23.3 (7.7)	25.0 (7.6)	26.7 (7.5)	28.7 (7.3)
IV. Non-Tax Revenue	3.7 (1.5)	2.9 (1.1)	4.0 (1.3)	5.4 (1.6)	6.7 (1.9)	6.7 (1.7)
V. Non-Debt Capital Receipts	0.4 (0.2)	0.7 (0.3)	0.6 (0.2)	0.4 (0.1)	0.6 (0.2)	1.2 (0.3)
VI. Total Expenditure	37.9 (16.1)	41.9 (15.6)	44.4 (14.8)	46.5 (14.1)	49.6 (13.9)	53.5 (13.6)
VII. Revenue Expenditure	32.0 (13.6)	34.5 (12.8)	34.9 (11.6)	36.0 (10.9)	38.7 (10.8)	41.3 (10.5)
VIII. Capital Expenditure	5.9 (2.5)	7.4 (2.8)	9.5 (3.2)	10.5 (3.2)	11.0 (3.1)	12.2 (3.1)
IX. Revenue Deficit	10.3 (4.4)	10.7 (4.0)	7.7 (2.5)	5.6 (1.7)	5.3 (1.5)	5.9 (1.5)
X. Gross Fiscal Deficit	15.8 (6.7)	17.4 (6.5)	16.5 (5.5)	15.7 (4.8)	15.6 (4.4)	17.0 (4.3)

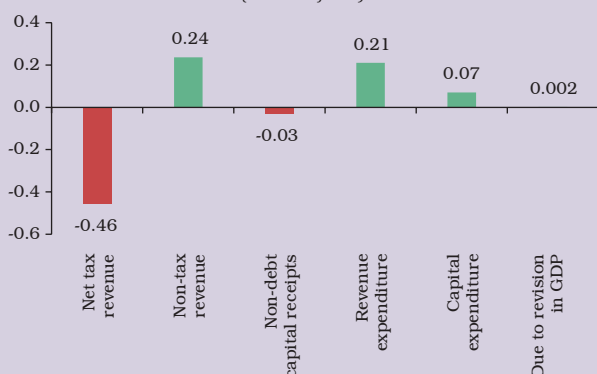
BE: Budget Estimates. RE: Revised Estimates.

Note: Figures in parentheses are as per cent of GDP.

Source: Union Budget documents.

⁴⁶ In this Chapter, fiscal indicators (as per cent of GDP) of the central government, the state governments and the general government are calculated using the GDP series (2011-12 base year).

Chart II.6.1: Contribution to Fiscal Consolidation in 2025-26 RE vis-à-vis BE
(Per cent of GDP)



BE: Budget Estimates. RE: Revised Estimates.

Note: Negative contribution denotes decline in receipts or increase in expenditure or a downward revision in GDP from BE to RE as these contribute to slippage from the budgeted fiscal deficit. Conversely, positive contribution denotes higher receipts or lower expenditure from BE to RE, as these contribute to attainment of budgeted fiscal deficit target.

Sources: Union Budget documents and RBI staff estimates.

Chart II.6.2: Performance of Major Taxes
(Per cent of GDP)



Note: Goods and Services Tax (GST) is the sum of Central GST, Integrated GST, and GST compensation cess. GST compensation cess has been discontinued by the Centre since February 1, 2026⁴⁷.

Source: Union Budget documents.

The expenditure on major subsidies exceeded its budgeted amount by ₹46,327 crore, mainly attributable to higher food and fertiliser subsidies.

II.6.4 Capital expenditure in 2025-26 (RE) remained at 3.1 per cent of GDP, in line with the budget estimates, despite undershooting by ₹25,335 crore. Effective capital expenditure remained broadly unchanged in 2025-26 (RE) [3.9 per cent of GDP] as in 2024-25 (4.0 per cent of GDP).

II.6.5 In 2025-26 (RE), gross tax revenue expanded by 7.4 per cent, largely driven by accelerated growth in revenue from corporation tax, and double-digit growth in excise duty and customs. It stood at 11.4 per cent of GDP, broadly in line with 2024-25 (Chart II.6.2).

II.6.6 Net tax revenue increased by 7.0 per cent in 2025-26 (RE). Non-tax revenue recorded robust growth of 24.4 per cent in 2025-26 (RE),

exceeding its budget estimates by ₹84,662 crore. Non-debt capital receipts recovered strongly in 2025-26 (RE) [growth of 53.1 per cent], after contracting in 2024-25. Overall, total non-debt receipts grew by 10.7 per cent in 2025-26 (RE).

Central Government Finances in 2026-27

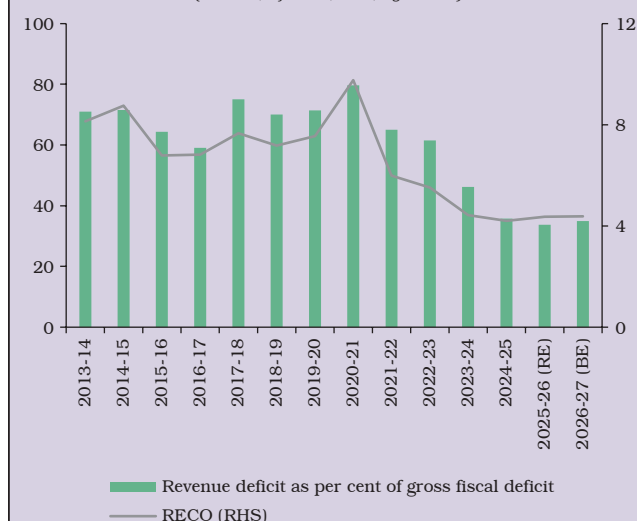
II.6.7 The Central Government has been consistently reducing the GFD as per cent of GDP since it reached its peak in 2020-21 (9.2 per cent of GDP) [Table II.6.1 and Appendix Table 6]. With GFD for 2026-27 budgeted at 4.3 per cent of GDP, the fiscal consolidation witnessed in the post-pandemic period is expected to continue.

II.6.8 Capital expenditure is budgeted to grow by 11.5 per cent in 2026-27. Revenue expenditure to capital outlay (RECO) ratio and revenue deficit, as per cent of GFD, broadly exhibited a declining trend in recent years, indicating an improvement in quality of public expenditure (Chart II.6.3).

⁴⁷ GST Newsletter, GST Council Secretariat, December 2025, and Press Information Bureau (PIB), September 3, 2025.

Chart II.6.3: Quality of Expenditure

(Per cent, left scale; ratio, right scale)



Sources: Union Budget documents and RBI staff estimates.

Chart II.6.4 Trends in Tax Revenue - Centre

(Per cent of GDP)



Source: Union Budget documents.

II.6.9 Gross tax revenue is budgeted to decline marginally to 11.2 per cent of GDP in 2026-27. Indirect taxes are budgeted lower at 4.3 per cent of GDP in 2026-27, partly due to discontinuation of GST compensation cess (Chart II.6.4).

II.6.10 Gross market borrowings for 2026-27 are budgeted at ₹17.2 lakh crore, higher than ₹14.6 lakh crore in 2025-26 (RE). Net market borrowings stand at ₹11.7 lakh crore (3.0 per cent

of GDP) for 2026-27 (BE) [Chart II.6.5a]. Market borrowings, and small savings continue to be the major sources of financing GFD (Chart II.6.5b).

State Finances in 2025-26

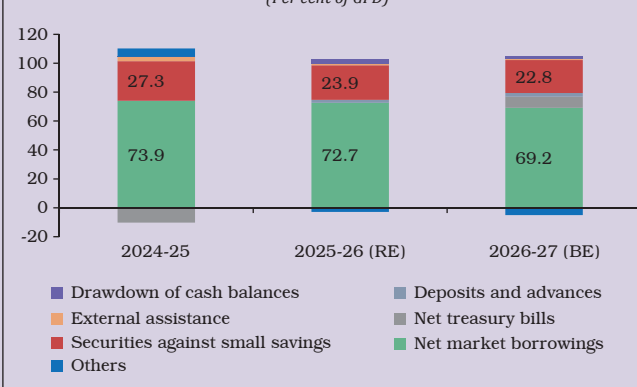
II.6.11 For 2025-26, states had budgeted a GFD of 3.3 per cent of GDP (Table II.6.2). As per provisional accounts data of 22 states, during April-February 2025-26, states' GFD as a share of the budget estimates rose to 77.1 per cent

Chart II.6.5 Market Borrowings and GFD Financing**a. Market Borrowings and GFD**

(Per cent of GDP)

**b. Sources of GFD Financing**

(Per cent of GFD)



Note: Gross and net market borrowings are exclusive of switching operations and buyback of securities across years.

Source: Union Budget documents.

Table II.6.2: Fiscal Position of States/UTs

(Amount in ₹lakh crore)

Item	2021-22	2022-23	2023-24	2024-25 (RE)	2025-26 (BE)
1	2	3	4	5	6
I. Non-debt Receipts	32.5 (13.8)	36.6 (13.6)	39.5 (13.1)	46.0 (14.0)	51.8 (14.5)
II. Revenue Receipts	32.3 (13.7)	36.5 (13.6)	39.3 (13.0)	45.8 (13.9)	51.3 (14.4)
III. Non-debt Capital Receipts	0.2 (0.1)	0.1 (0.04)	0.2 (0.1)	0.2 (0.1)	0.5 (0.1)
IV. Revenue Expenditure	33.3 (14.1)	37.1 (13.8)	40.2 (13.4)	47.7 (14.4)	52.1 (14.6)
V. Capital Expenditure	5.8 (2.4)	6.7 (2.5)	8.1 (2.7)	9.9 (3.0)	11.4 (3.2)
a. Capital Outlay	5.3 (2.3)	6.0 (2.2)	7.5 (2.5)	9.1 (2.7)	10.6 (3.0)
b. Loans and Advances by States	0.4 (0.2)	0.7 (0.3)	0.6 (0.2)	0.8 (0.3)	0.8 (0.2)
VI. Total Expenditure	39.1 (16.5)	43.8 (16.3)	48.3 (16.0)	57.7 (17.4)	63.6 (17.8)
VII. Fiscal Deficit	6.5 (2.8)	7.2 (2.7)	8.8 (2.9)	11.6 (3.5)	11.8 (3.3)
VIII. Revenue Deficit	1.0 (0.4)	0.6 (0.2)	0.9 (0.3)	1.9 (0.6)	0.8 (0.2)
IX. Primary Deficit	2.3 (1.0)	2.6 (1.0)	3.7 (1.2)	6.0 (1.8)	5.5 (1.5)

BE: Budget Estimates. RE: Revised Estimates.

Note: Figures in parentheses are per cent of GDP.**Source:** Budget documents of State governments.

from 64.3 per cent a year ago. This uptick reflects subdued revenue performance, driven primarily by a slowdown in states' GST (SGST) collection and contraction in grants from the Centre. Revenue expenditure grew at a slower pace than a year ago, while capital expenditure recorded strong growth during the same period.

State Finances in 2026-27

II.6.12 As per information available for 24 states/UTs for 2026-27, their consolidated GFD-GSDP ratio is budgeted at 3.0 per cent (Table II.6.3). The gross transfers to states have been budgeted to increase by 12.2 per cent in 2026-27 (BE), largely on account of transfers under centrally

sponsored schemes and special assistance to states for capital investment. The scheme of 50-year interest free loans for capital expenditure to states would be continued in 2026-27, with total

Table II.6.3: State Government Finances 2026-27*: Key Deficit Indicators

(Per cent of GSDP)

Item	2024-25	2025-26 (RE)	2026-27 (BE)
1	2	3	4
Revenue Deficit	0.3	0.4	-0.1
Gross Fiscal Deficit	3.0	3.5	3.0
Primary Deficit	1.5	1.9	1.4

*: Data pertain to 24 states that have presented their final budgets for 2026-27.

Note: Negative in deficit indicators denote surplus.**Source:** Budget documents of state governments.

outlay of ₹2 lakh crore - an increase of 33.3 per cent over 2025-26 (RE) levels.

II.6.13 The Sixteenth Finance Commission (FC-XVI) report for 2026-27 to 2030-31 has ensured continuity in Centre-State fiscal relations while reinforcing incentives for performance and fiscal discipline. It retains states' share at 41 per cent in the divisible tax pool.

II.6.14 The FC-XVI has moderately rebalanced the horizontal devolution formula while preserving its equity-focused core (Table II.6.4). Greater emphasis has been placed on population, while the weights assigned to area, income distance and demographic performance have been trimmed. While the weight assigned to forest cover has been retained, the tax effort criterion has been removed. The Commission has introduced a new criterion, states' contribution to GDP with a weight of 10 per cent, reflecting India's growth ambitions and the need to recognise states' role in driving national economic performance.

II.6.15 Post-devolution, revenue deficit grants have been discontinued to promote fiscal discipline and sustainable state budgets. The Commission concluded that existing revenue deficits largely reflect gaps in revenue mobilisation and expenditure management. It, therefore, emphasised that continued gap-filling transfers weaken fiscal adjustment incentives, as expectations of central support can dilute efforts to enhance own revenues and rationalise spending.

General Government Finances

II.6.16 The general government's GFD moderated from 7.8 per cent of GDP in 2024-25 (RE) to 7.2 per cent in 2025-26 (BE). The debt-to-GDP ratio is budgeted for a marginal uptick to 81.9 per cent in 2025-26 (BE), partly attributable to higher states liabilities. External liabilities remain low at 2.5 per cent of GDP in 2025-26 (BE), implying limited exchange rate risk (Chart II.6.6a).

Table II.6.4: Horizontal Devolution Criteria

(Per cent to total)

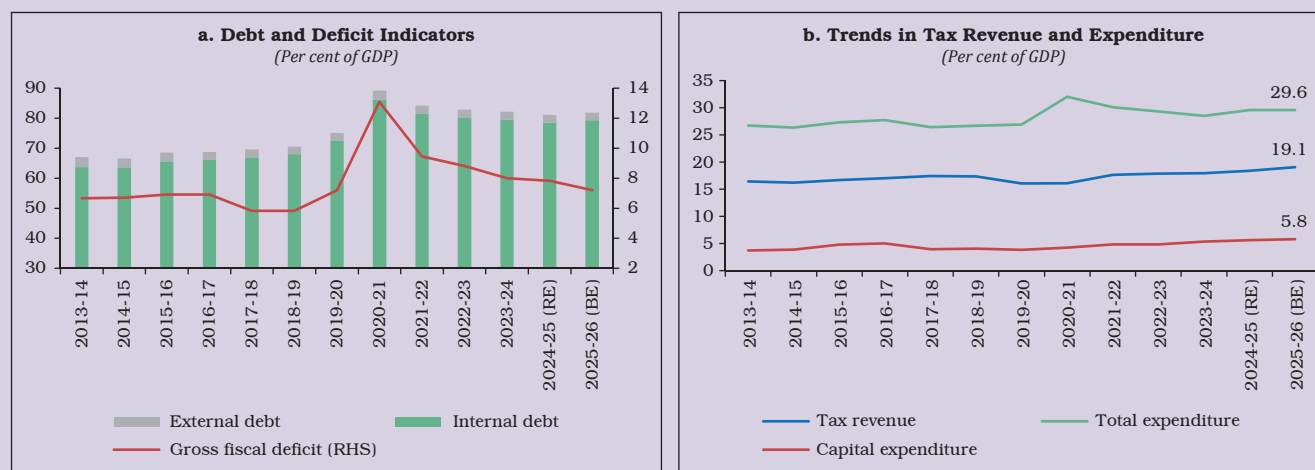
Dimension	Criteria	FC -XIII	FC -XIV	FC -XV	FC-XVI
		(2010-11 to 2014-15)	(2015-16 to 2019-20)	(2020-21 to 2025-26)	(2026-27 to 2030-31)
1	2	3	4	5	6
Need and Cost Disability	Population	25	27.5	15	17.5
	Area	10	15	15	10
	Forest Cover	-	7.5	10	10
Equity	Income Distance/Per Capita GSDP Distance	-	50	45	42.5
	Fiscal Capacity	47.5	-	-	-
Performance	Tax effort	-	-	2.5	-
	Fiscal Discipline	17.5	-	-	-
	Demographic Performance	-	-	12.5	10
	Contribution to GDP	-	-	-	10

-: Not applicable.

Note: For FC-XIII, the population criterion was based on 1971 census data. For FC-XIV, 17.5 per cent weight was assigned to 1971 census data and 10 per cent weight to 2011 census data. From FC-XV onwards, the population criterion is based on 2011 census data.

Source: Finance Commission Reports.

Chart II.6.6: General Government's Fiscal Indicators



Sources: Union Budget documents and RBI.

II.6.17 The general government's reduction in GFD was supported by increase in tax revenues at 19.1 per cent of GDP in 2025-26 (BE) from 18.4 per cent in the previous year. However, ratio of total expenditure to GDP remained the same at 29.6 per cent in both years. Capital expenditure is budgeted higher at 5.8 per cent of GDP in 2025-26 (BE) [5.6 per cent in 2024-25] (Chart II.6.6b).

Conclusion

II.6.18 The Union Budget 2026-27 continued with the post-pandemic fiscal consolidation path, which augurs well for medium-term growth. The GFD is budgeted at 4.3 per cent of GDP in 2026-27, down from 4.4 per cent of GDP in 2025-26 (RE). Notably, the thrust on capital expenditure is maintained, which is budgeted to grow at 11.5 per cent in 2026-27. The Sixteenth Finance Commission has ensured continuity in Centre-State fiscal relations with a renewed emphasis on performance-linked incentives and long-term fiscal responsibility.

II.7 EXTERNAL SECTOR

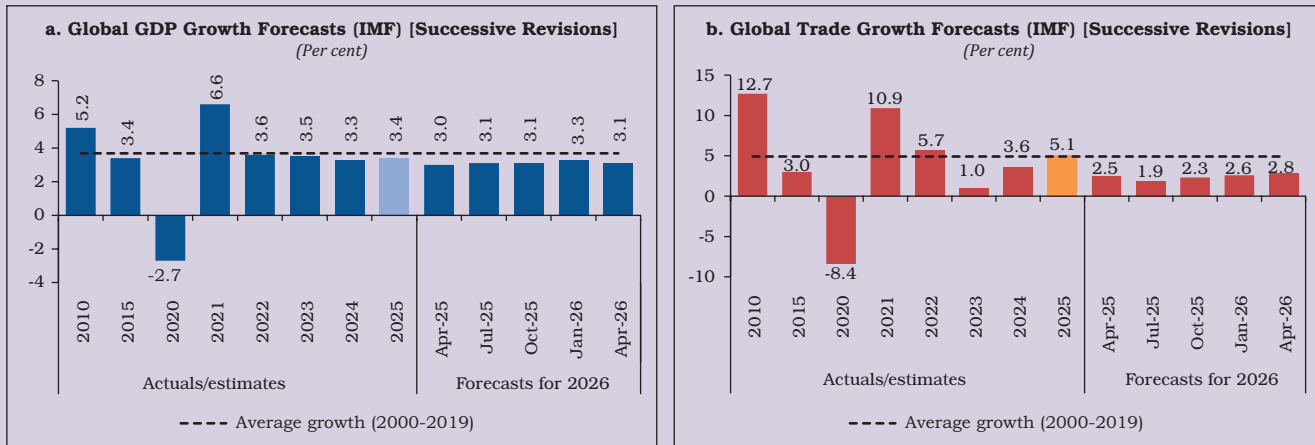
II.7.1 Amidst heightened global policy uncertainty and geopolitical tensions, India's external sector remained broadly resilient due to efforts towards diversification of exports, a sustained surplus in services trade and steady inward remittances. With net capital flows falling short of current account deficit (CAD), foreign exchange reserves declined on a balance of payments (BoP) basis during April-December 2025.

Global Economic Conditions

II.7.2 Global GDP growth increased marginally to 3.4 per cent in 2025 (Chart II.7.1a). Global inflation eased, thus prompting major central banks to cut policy rates. With contained inflationary pressures and stable demand, global trade volume (goods and services) rose by 5.1 per cent in 2025 (3.6 per cent in 2024) [Chart II.7.1b]. In 2026, however, with the ongoing West Asia conflict, global GDP growth is expected to weaken to 3.1 per cent⁴⁸. The conflict-led disruptions in critical trade routes and the

⁴⁸ World Economic Outlook, April 2026, International Monetary Fund (IMF).

Chart II.7.1: Real GDP and World Trade* Volume Growth



*: Goods and services.

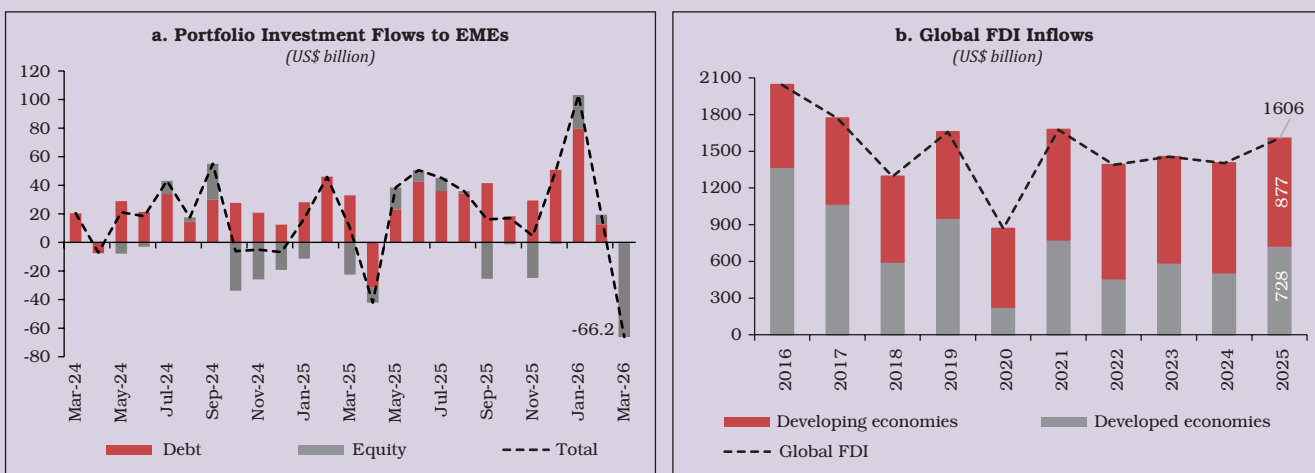
Source: WEO, April 2026, IMF.

continuing global trade policy uncertainties have clouded the outlook for global merchandise trade going forward. A slower growth in transportation and travel segments under services trade is also expected. Consequently, global trade volume growth could decline in 2026.

II.7.3 Emerging market economies (EMEs) recorded robust net portfolio inflows during 2025-26, supported by the debt segment. Net

outflows were recorded in the equity segment owing to persistent global uncertainty exacerbated by conflict in West Asia (Chart II.7.2a). Global foreign direct investment (FDI) rose in 2025, with net inflows to developed economies increasing by 43 per cent, driven by Europe and financial hubs⁴⁹ (Chart II.7.2b). In contrast, net FDI inflows to developing economies declined by 2 per cent in 2025.

Chart II.7.2: Portfolio Investment Flows to EMEs and Global FDI Trends



Sources: Institute of International Finance; and UNCTAD.

⁴⁹ Global Investment Trends Monitor, January 2026, United Nations Conference on Trade and Development (UNCTAD).

Merchandise Trade

II.7.4 Despite tariff related uncertainty, India's merchandise exports and imports (in value terms) expanded at higher pace in 2025-26 than in 2024-25 (Table II.7.1).

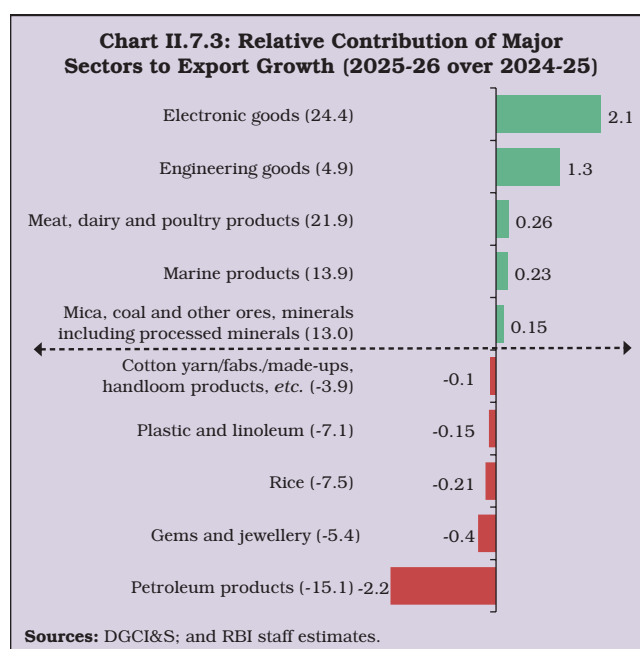
II.7.5 The expansion in merchandise exports in 2025-26 was led by growth in electronic goods; engineering goods; meat, dairy and poultry products; marine products; and mica, coal and other ores, minerals including processed minerals while petroleum products; gems and jewellery; rice; plastic and linoleum; and cotton and handloom products witnessed a contraction (Chart II.7.3).

Table II.7.1: India's Merchandise Trade

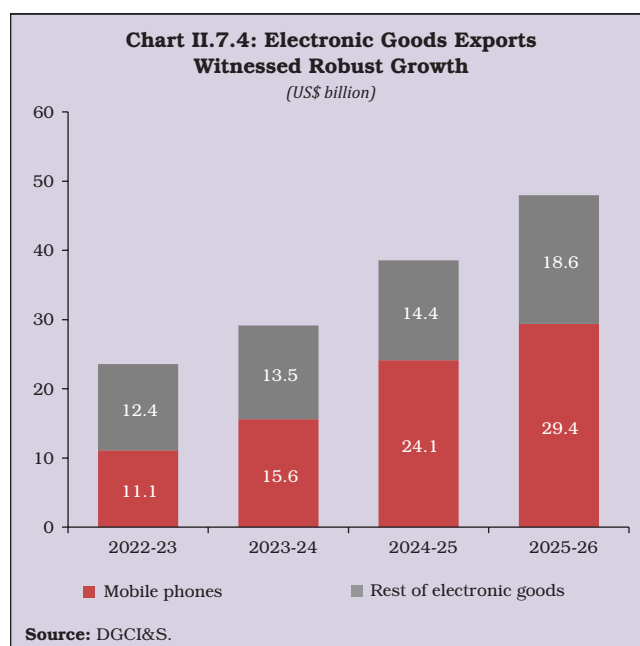
	Value in US\$ Billion				Growth Rate (Y-o-Y, per cent)			
	2022-23	2023-24	2024-25	2025-26	2022-23	2023-24	2024-25	2025-26
1	2	3	4	5	6	7	8	9
Exports								
Q1	121.0	103.9	114.0	111.6	26.6	-14.1	9.8	-2.2
Q2	110.7	107.2	99.6	107.9	7.8	-3.2	-7.0	8.3
Q3	104.6	105.6	108.7	110.2	-2.1	1.0	3.0	1.4
Q4	114.8	120.4	115.3	112.0	-1.9	4.9	-4.3	-2.8
Annual	451.1	437.1	437.7	441.7	6.9	-3.1	0.1	0.9
Imports								
Q1	183.5	159.7	172.2	180.3	44.5	-13.0	7.8	4.7
Q2	189.0	169.4	186.7	196.0	28.1	-10.4	10.2	5.0
Q3	176.1	174.7	187.5	204.2	5.4	-0.8	7.3	8.9
Q4	167.3	170.2	173.9	194.5	-2.5	1.7	2.2	11.9
Annual	716.0	674.0	720.2	775.0	16.8	-5.9	6.9	7.6
Trade Balance								
Q1	-62.6	-55.8	-58.1	-68.7				
Q2	-78.3	-62.2	-87.1	-88.0				
Q3	-71.5	-69.1	-78.7	-94.0				
Q4	-52.6	-49.7	-58.6	-82.5				
Annual	-264.9	-236.9	-282.5	-333.2				

Note: Quarterly figures may not add up to annual figures due to rounding off of numbers.

Source: DGCI&S.



II.7.6 Among India's top export commodities, exports of electronic goods recorded fastest growth, though lower than last year. This growth was largely driven by exports of mobile phones, which constitute around 61 per cent of electronic goods exports and were exempted from the tariffs imposed by the US (Chart II.7.4).

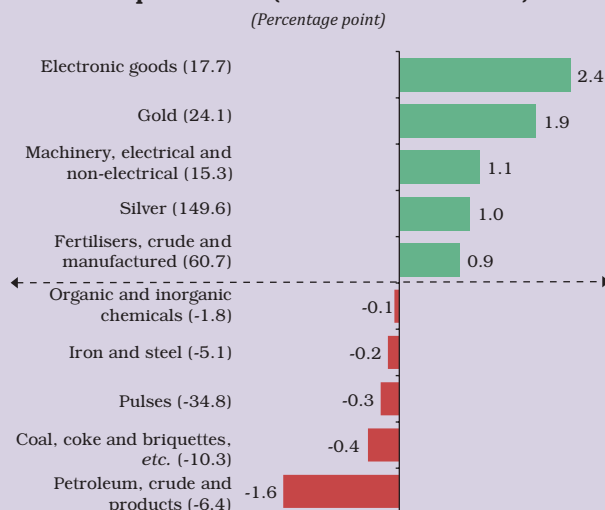


II.7.7 Growth in India's merchandise exports to the US moderated during 2025-26 due to the heightened tariffs. The positive growth in exports to the US during April-August 2025 was driven by front-loading in anticipation of higher tariffs, along with rise in exports in the sectors exempted from the tariffs imposed by the US. Thereafter, barring November 2025, exports to the US witnessed contraction since September 2025. In a major trade reconfiguration, China became the largest trading partner of India overtaking the US in 2025-26.

II.7.8 The expansion in merchandise imports in 2025-26 was led by electronic goods, gold, and machinery, electrical and non-electrical. Petroleum, crude and products; coal, coke and briquettes; pulses; iron and steel; and organic and inorganic chemicals contributed negatively to import growth (Chart II.7.5).

II.7.9 Despite an increase in the volume, the value of petroleum, oil and lubricants imports (22.4 per cent of total merchandise imports during 2025-26) declined in 2025-26 due to contraction in oil prices (Chart II.7.6a). The share of Russia and Iraq in India's crude oil imports declined

Chart II.7.5: Relative Contribution of Major Sectors to Import Growth (2025-26 over 2024-25)



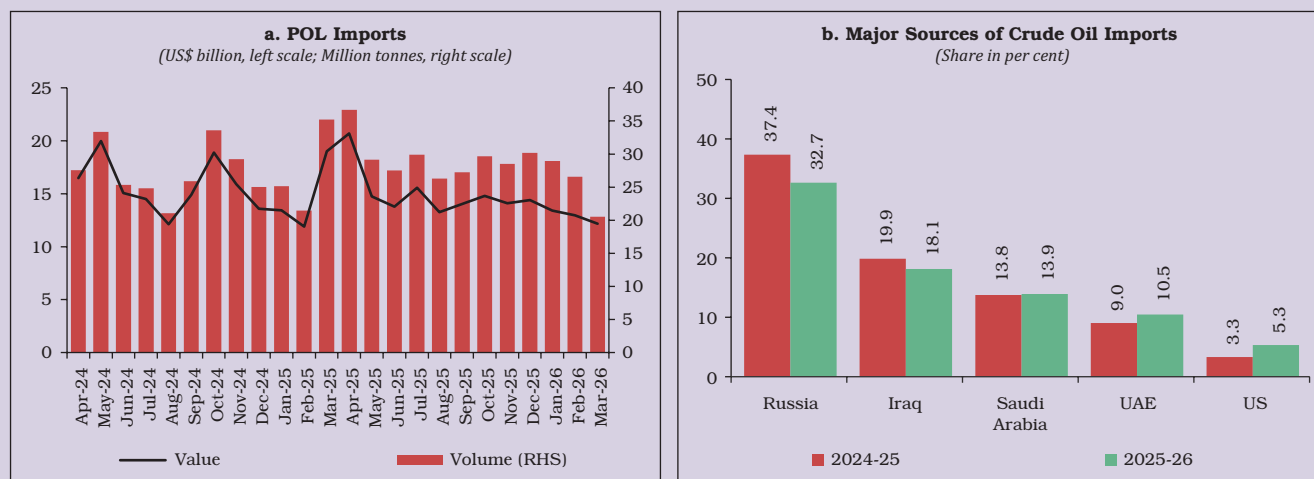
Note: Figures in parentheses are growth rate of respective commodities.
Sources: DGCI&S; and RBI staff estimates.

during the year, while that of Saudi Arabia, the UAE and the US increased (Chart II.7.6b).

II.7.10 Value of gold imports increased in 2025-26, with the effect of contraction in gold import volume offset by higher international prices (Chart II.7.7).

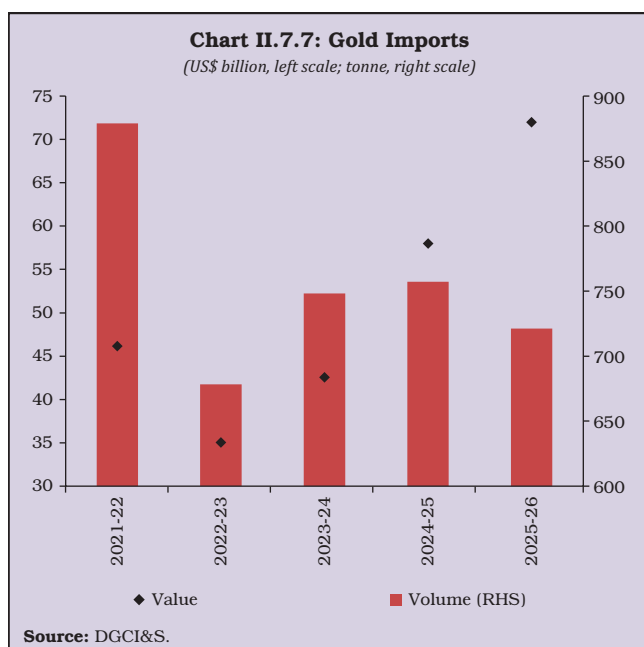
II.7.11 Merchandise trade deficit widened in 2025-26, with oil deficit remaining the largest contributor (Chart II.7.8a). Among the major trading partners,

Chart II.7.6: Petroleum, Oil and Lubricants (POL)



Source: DGCI&S.

Chart II.7.7: Gold Imports
(US\$ billion, left scale; tonne, right scale)



trade deficit with China and Switzerland widened, while trade surplus improved with respect to Spain in 2025-26 (Chart II.7.8b).

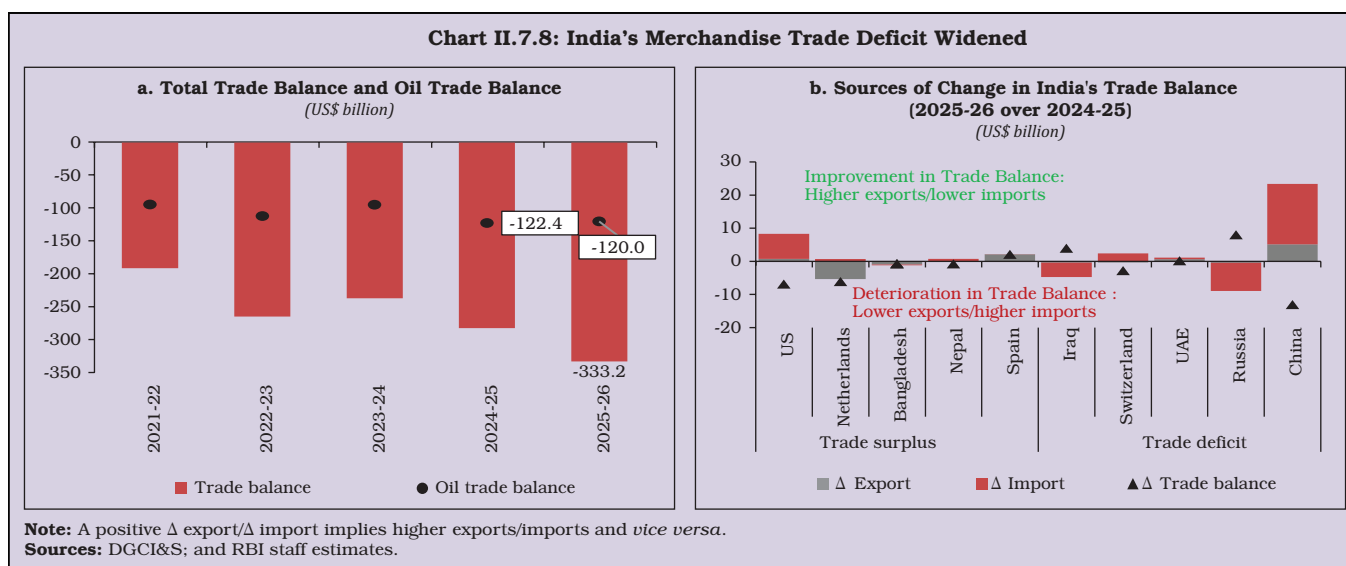
II.7.12 As of April 2026, India has signed 24 trade agreements. Accelerating the trade diversification efforts with new trade alliances,

India signed a Comprehensive Economic and Trade Agreement (CETA) with the United Kingdom on July 24, 2025, Comprehensive Economic and Partnership Agreement (CEPA) with Oman on December 18, 2025 and India-New Zealand Free Trade Agreement (FTA) on April 27, 2026. These agreements are yet to be enforced. The FTA negotiations with the European Union were also concluded on January 27, 2026.

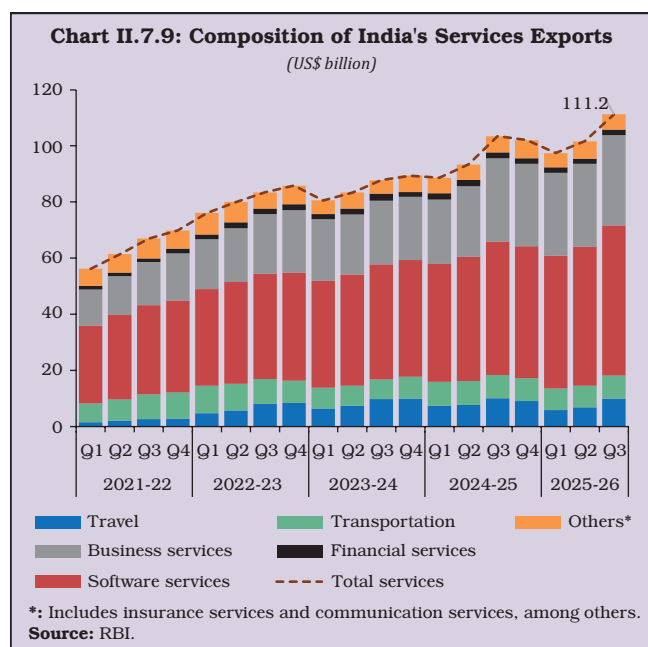
Invisibles

II.7.13 Receipts from India's trade in invisibles - consisting of cross-border transactions in services, income, and transfers - remained buoyant during 2025-26 (up to December 2025). Net services exports grew strongly by 15.3 per cent (y-o-y) during April-December 2025, driven by software and business services (accounting for 77.8 per cent of services exports) [Chart II.7.9]. Amongst other key services, transportation receipts contracted by 7.3 per cent (y-o-y), largely due to a decline in sea freight⁵⁰. Travel services

Chart II.7.8: India's Merchandise Trade Deficit Widened



⁵⁰ In the post-pandemic period (2021-22 to 2024-25), the share of sea transport averaged around 66.0 per cent in total transportation services exports for India. Within sea transport, the share of sea freight receipts stood at around 71.0 per cent. The contraction in sea freight during April-December 2025 was on account of continued global trade policy uncertainties and geopolitical tensions.



exports also contracted, reflecting a fall in foreign tourist arrivals during the period. Going forward, robust global IT spending, as projected by Gartner⁵¹, bodes well for India's software services exports.

II.7.14 Private transfer receipts, mainly representing remittances by Indians working overseas, posted a robust growth of 10.1 per cent (y-o-y) during April-December 2025 (16.2 per cent during April-December 2024). The average cost of sending US\$ 200 as remittance to India stood at 5.3 per cent in Q3:2025, same as a year ago, below the global average cost of 6.4 per cent, but still above the sustainable development goal (SDG) target of 3 per cent by 2030.

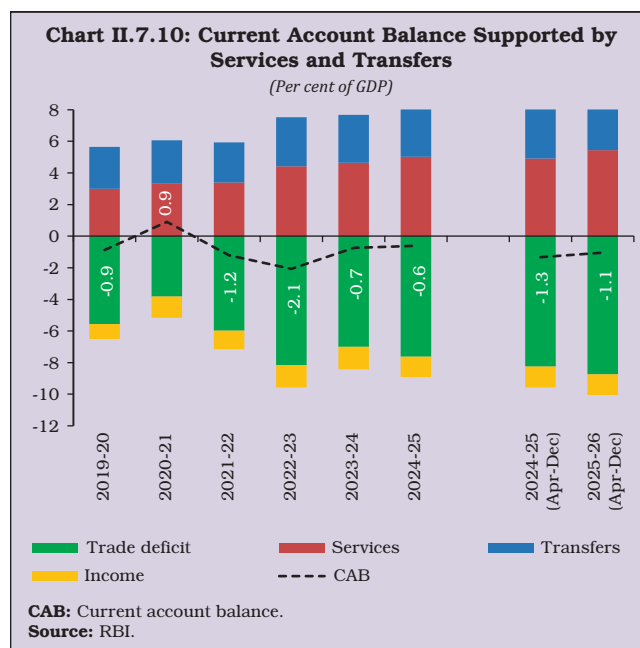
II.7.15 Net outgo in the primary income account⁵² stood at US\$ 37.2 billion during April-December 2025, higher than US\$ 36.5 billion during April-December 2024. This reflects the rise in payment

of dividends and reinvested earnings owing to inward FDI during the same period.

II.7.16 The buoyancy in net services receipts and workers' remittances largely offset the expansion in merchandise trade deficit, thus containing CAD at US\$ 30.2 billion (1.1 per cent of GDP) during April-December 2025 as compared with US\$ 36.7 billion (1.3 per cent of GDP) during the corresponding period a year ago (Chart II.7.10).

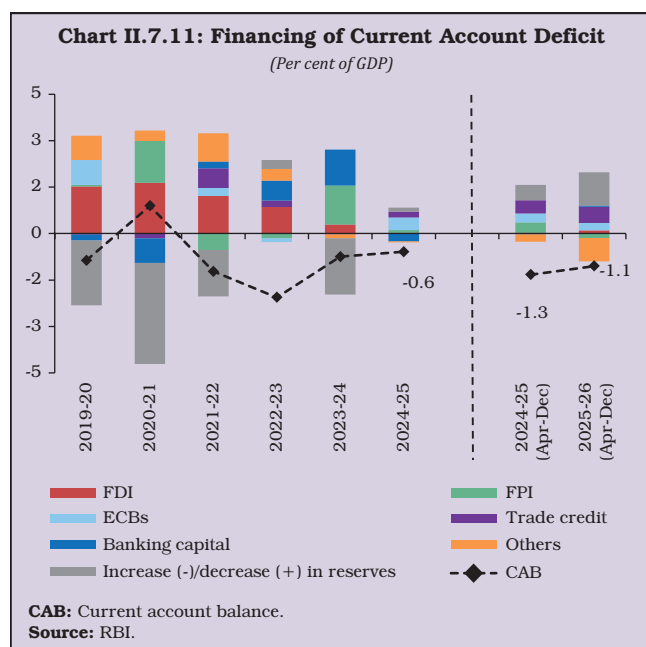
External Financing

II.7.17 The global environment for international investment remained challenging. Against this backdrop, net capital flows during April-December 2025 moderated (y-o-y) and fell short of CAD, leading to a depletion of foreign exchange reserves by US\$ 30.8 billion on a BoP basis (excluding valuation effects) during the period (Chart II.7.11 and Appendix Table 7).



⁵¹ 'Gartner Forecasts Worldwide IT Spending to Grow 13.5 per cent in 2026, Totaling \$6.31 Trillion', Press Release, Gartner Inc., April 22, 2026.

⁵² Income on cross-border investments and compensation of employees that domestic resident entities earn from/pay to the rest of the world.



II.7.18 Within capital flows, FDI stood higher, both on gross and net basis, during 2025-26 (Table II.7.2). Globally, India ranked second in terms of greenfield FDI announcements during 2025-26, after the US, according to fDi Markets⁵³.

II.7.19 Services sector accounted for the major share of FDI equity flows into India during 2025-26, followed by manufacturing.⁵⁴ Major source countries, viz., Singapore, the US, Mauritius, Japan, the Netherlands and the UAE contributed about four-fifths of the flows. Outward FDI by India also increased during this period, with Singapore, the US, the UAE and Mauritius being the major destinations. Financial, insurance and business services; manufacturing; and wholesale/retail trade, restaurants and hotels were the main sectors for India's outward FDI.

II.7.20 During 2025-26, foreign portfolio investment (FPI) registered net outflows of US\$ 16.5 billion driven by the equity segment (Table II.7.2). In March 2026 alone, net FPI outflows were to the tune of US\$ 13.1 billion, triggered by the outbreak of the West Asia conflict on February 28, 2026. The debt segment witnessed modest inflows in 2025-26 of US\$ 2.1 billion, reflecting preference for safer assets amidst uncertain

Table II.7.2: Capital Flows

(US\$ billion)

Item	2022-23	2023-24	2024-25	2025-26
1	2	3	4	5
1. Net FDI (1.1 - 1.2)	28.0	10.2	1.0	7.7
1.1 Net Inward FDI (1.1.1 - 1.1.2)	42.0	26.8	29.1	40.9
1.1.1 Gross Inflows	71.4	71.3	80.6	94.5
1.1.2 Repatriation/Disinvestment	29.3	44.5	51.5	53.6
1.2 Net Outward FDI	14.0	16.7	28.2	33.3
2. Net FPI to India	-4.8	44.6	3.3	-16.5
3. Net ECB to India	-4.1	3.5	18.5	12.0
4. Non-Resident Deposits	9.0	14.7	16.2	14.4
4.1 Non-Resident External (Rupee) Account	2.5	4.2	4.7	7.9
4.2 Non-Resident Ordinary Account	4.0	4.2	4.4	5.5
4.3 Foreign Currency Non-Resident (B) Account	2.4	6.4	7.1	0.9

Note: Data for net FPI to India in column 5 is sourced from NSDL. FPI data for previous financial years are based on BoP.

Sources: RBI; and NSDL.

⁵³ fDi Markets is the leading online database tracking greenfield FDI in real-time across all markets and sectors globally since 2003.

⁵⁴ Services sector, comprising computer, financial, communication and business services, accounted for around 44 per cent in total FDI equity flows during 2025-26 as compared with an average share of 38 per cent during 2021-22 to 2024-25.

Table II.7.3: External Vulnerability Indicators (End-March)

(Per cent, unless indicated otherwise)

Indicator	2013	2023	2024	2025	End-Dec 2025
1	2	3	4	5	6
1. External Debt to GDP Ratio [#]	22.4	19.6	19.2	19.8	20.4
2. Ratio of Short-term Debt (Original Maturity) to Total Debt	23.6	20.6	19.1	18.3	19.7
3. Ratio of Short-term Debt (Residual Maturity) to Total Debt	42.1	44.0	43.4	41.2	43.2
4. Ratio of Concessional Debt to Total Debt	11.1	8.2	7.4	6.9	7.0
5. Ratio of Reserves to Total Debt	71.3	92.7	96.6	90.8	89.8
6. Ratio of Short-term Debt (Original Maturity) to Reserves	33.1	22.2	19.7	20.1	21.9
7. Ratio of Short-term Debt (Residual Maturity) to Reserves	59.0	47.4	44.9	45.4	48.1
8. Reserve Cover of Imports (in Months)*	7.0	9.6	11.3	11.0	10.8
9. Debt Service Ratio (Debt Service to Current Receipts) [@]	5.9	5.3	6.7	6.6	5.8
10. External Debt (US\$ billion)	409.4	623.9	668.9	736.4	765.5
11. Net International Investment Position (NIIP) [US\$ billion]	-326.7	-367.0	-361.3	-329.1	-260.5
12. NIIP/GDP Ratio	-17.8	-11.6	-10.5	-9.0	-7.1
13. CAB/GDP Ratio [@]	-4.8	-2.1	-0.7	-0.6	-1.1

[#]: Ratios from 2023 onwards are based on new series of GDP estimates with base year 2022-23.
^{*}: Based on merchandise imports of latest four quarters, published in BoP statistics.
[@]: Figures corresponding to column 6 pertains to April-December 2025.
Sources: RBI and Government of India.

global environment. Equity sell-offs were largely contributed by information technology, financial services and fast-moving consumer goods sectors. Inflows were primarily recorded in capital goods, metals and mining, and telecommunication sectors.

II.7.21 During 2025-26, net ECB inflows to India moderated from a year ago. Besides on-lending/sub-lending, ECBs were used for refinancing of earlier ECBs, import of capital goods and new projects. Net inflows under non-resident deposits also moderated during 2025-26 from a year ago, due to a decline in net inflows under FCNR(B) deposits.

Key Vulnerability Indicators

II.7.22 India's key external sector vulnerability indicators, such as the external debt to GDP ratio, debt service ratio and net IIP to GDP ratio, remained contained at end-December 2025

(Table II.7.3). Robust foreign exchange reserves provided a strong buffer for mitigating external risks and spillovers. Reserves provided a cover of around 11 months of merchandise imports⁵⁵ (on BoP basis), while reserves to total external debt stood at around 90 per cent at end-December 2025.

Conclusion

II.7.23 Despite a widening merchandise trade deficit, India's external sector vulnerability remained low during 2025-26, supported by sustained growth in services exports and private transfer receipts. Although net capital flows fell short of external financing requirements with portfolio flows exhibiting net outflows, strong buffers in the form of ample foreign exchange reserves and modest external debt liabilities continued to impart strength to the external sector, contributing to overall macroeconomic and financial stability.

⁵⁵ As at end-March 2026, the import cover for goods and services was around nine months.